

SUPERIOR COURT OF CALIFORNIA, CONTRA COSTA COUNTY
MARTINEZ, CA
DEPARTMENT 09
JUDICIAL OFFICER: JOHN P DEVINE
HEARING DATE: 12/08/2025

ALL REMOTE APPEARANCES WILL BE BY ZOOM

For matters where an appearance is required, the parties may appear by Zoom unless told to appear by another method. For all other matters, if argument is requested, appearances may be by Zoom or in person

Please email Dept09@contracosta.courts.ca.gov and opposing counsel by 4:00 p.m. if oral argument is requested and include specification to be argued.

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Law & Motion

1. 9:00 AM CASE NUMBER: C22-00793
CASE NAME: NOBLE LEARNING ACADEMY VS. WALNUT CREEK PRESBYTERIAN CHURCH
HEARING ON SUMMARY MOTION SUMMARY ADJUDICATION
FILED BY: WALNUT CREEK PRESBYTERIAN CHURCH
TENTATIVE RULING:

Hearing **continued** to February 9, 2026 at 9:00 a.m.

2. 9:00 AM CASE NUMBER: C22-01552
CASE NAME: SCHAEFER VS. BNSF RAILWAY COMPANY
*HEARING ON MOTION IN RE: STAY THE ACTION PENDING DETERMINATION OF APPEAL
FILED BY: BNSF RAILWAY COMPANY
TENTATIVE RULING:

Defendant BNSF Railway Company's motion for a stay is **denied**.

This case arises out of an accident at a railroad crossing. Decedent Joshua Schaefer was in a

car driven by Kaylee Mello when her car got stuck on the railroad tracks and was subsequently hit by a train. Joshua died as a result of the accident. Joshua's parents filed separate lawsuits, which were consolidated.

In August 2025, the court granted the City of Oakley's motion for summary judgment. Plaintiff Ronny Schaefer appealed this ruling. Plaintiffs Melissa Welsh-Schaefer and Kaylee Mello have not yet filed an appeal. BNSF seeks a stay of the entire case pending the outcome of the appeal of the Court's granting of summary judgment in favor of Oakley.

“ '[A] court ordinarily has inherent power, in its discretion, to stay proceedings when such a stay will accommodate the ends of justice.' [Citation.] ... '[t]he power to stay proceedings is incidental to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants.' ” (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 141.)

The majority of cases cited by moving party involved staying one action while another litigation proceeded. (See, *Adams v. Paul* (1995) 11 Cal.4th 583, 592-93, *Jordache Enterprises, Inc. v. Brobeck, Phleger & Harrison* (1998) 18 Cal.4th 739, and *Montrose Chemical Corp. v. Superior Court* (1993) 6 Cal.4th 287, 301.) In *Houghton v. Superior Court of Alameda County* (1922) 187 Cal. 661, the court found held that “a judgment which would be *res adjudicata* of matters involved in an action may be availed of during the pendency of an appeal from such judgment, either by a plea in abatement upon proof of which a judgment may be rendered that the action abate (*Connor v. Bank of Bakersfield*, 174 Cal. 400), or by a continuance of a second action until the result of the appeal has been determined”. Moving party has not cited a case similar to this one where one co-defendant prevailed on summary judgment and the trial court stayed the entire case pending appeal of the summary judgment motion. Still, the Court could, using its inherent power, grant a stay in this case.

BNSF argues that there is a high probability of inconsistent, multiple, and contradictory verdicts. BNSF also argues that should Plaintiff prevail on its motion in limine one, precluding BNSF from arguing compared fault of the City, that would prejudice BNSF. BNSF also argues that it would be unfair to make BNSF go to trial alone when, if the appeal is successful, Oakley will then have to go to trial alone later. BNSF also argues that that expert discovery has not been completed and it would be best if all parties, including Oakley, were involved in expert discovery. Finally, BNSF argues that there is a risk of double recovery should the appeal prevail and Plaintiffs win trials against BNSF and Oakley.

Plaintiff Ronny Schaefer agrees that this case should be stayed. He argues that BNSF's motion for judgment on the pleadings should not be decided before the appeal of the granting of summary judgment as to Oakley. He also argues that, he anticipates BNSF will try to exclude evidence presented in the opposition to Oakley's motion for summary judgment, which would be unfair to Plaintiff. Plaintiff is also concerned that if the appeal is successful, there would be two separate trials and a jury would not be able to apportion fault among Oakley and BNSF fairly. Finally, Plaintiff argues that if the appeal is granted, they would have to engage in costly expert discovery with Oakley after having already completed the expert discovery with BNSF.

Plaintiffs Melissa Welsh-Schaefer and Kaylee Mello oppose a stay. This case was filed in July

2022 and with a stay pending appeal, Plaintiffs argue that the trial would not take place within five years of filing the complaint. Plaintiffs argue that witness's memories will fade with time. Further, Plaintiffs argue that there will be inefficiency and injustice if a stay pending appeal is ordered in this case.

BNSF and Plaintiff Schaefer's reasons for requesting a stay are based primarily on the assumption that the Court's ruling on Oakley's motion for summary judgment was incorrect. The Court does not view its ruling on the summary judgment motion as a sufficient buttress to the stay request. In addition, BNSF and Schaefer's concerns about how the Court's ruling on Oakley's motion for summary judgment will affect the presentation of evidence at trial are better raised in motions in limine. Further, a delay pending appeal will likely delay this case by another two years. The Court exercises its discretion and denies the request for a stay.

3. 9:00 AM CASE NUMBER: C23-01955

CASE NAME: NICOLE TRIPPIE VS. MISTY LEONE

***HEARING ON MOTION IN RE: COURT APPOINTED RECEIVER'S MOTION FOR AN ORDER APPROVING RECEIVER'S FINAL REPORT AND ACCOUNT, DISCHARGING RECEIVER, APPROVING FINAL FEES AND COSTS OF RECEIVER AND COUNSEL, APPROVING DISPOSITION OF CMD SALLOON, LLC'S ASSETS, AND TERMINATING RECEIVERSHIP.**

FILED BY:

TENTATIVE RULING:

Appearance required.

4. 9:00 AM CASE NUMBER: C24-01538

CASE NAME: FULLER PROPERTIES, LLC VS. SEQUOIA EQUITIES, INC.

***HEARING ON MOTION FOR DISCOVERY A PROTECTIVE ORDER, TO STAY ALL WRITTEN DISCOVERY, AND FOR THE ISSUANCE OF A CASE MANAGEMENT ORDER. FILED BY SEQUOIA EQUITIES, INC.**

FILED BY:

TENTATIVE RULING:

The hearing is continued to February 2, 2026, at 9 a.m. in Department 34 due to the continuance of the motion to consolidate in Case No. C23-02401 until January 22, 2026, in Department 39.

This lawsuit is assigned to Department 34 for all purposes, effective January 5, 2026.

5. 9:00 AM CASE NUMBER: C24-01538

CASE NAME: FULLER PROPERTIES, LLC VS. SEQUOIA EQUITIES, INC.

*HEARING ON MOTION IN RE: JUDGMENT ON THE PLEADINGS AS TO THE ENTIRE FIRST AMENDED COMPLAINT. FILED BY SEQUOIA EQUITIES.

FILED BY:

TENTATIVE RULING:

Before the Court is a motion for judgment on the pleadings filed by defendants Sequoia Equities, Inc. and Alder Creek Management, Inc. For the reasons set forth and on the grounds stated hereafter in the ruling, the motion for judgment on the pleadings is: (a) **granted as to Alder Creek as to all causes of action (1st through 11th C/As), with leave to amend;** (b) **granted as to Sequoia as to 1st through 5th, 7th, and 9th C/As, with leave to amend;** and (c) **denied as to Sequoia as to the 8th and 11th C/As.**

Background

Plaintiffs are approximately 60 entities, including lead plaintiff Fuller Properties, LLC, which own residential apartment buildings managed by defendant Sequoia Equities, Inc. Plaintiffs allege they each have a written property management agreement ("Management Agreement") with Sequoia to manage their apartment buildings, and they attach to their first amended complaint ("FAC") an example of the agreements. (FAC ¶¶ and Exh. A.)

In 2023, three individuals, current or former tenants of apartment buildings owned by one or more of the Plaintiffs in this case, filed a class action lawsuit against Sequoia, Alder Creek, and Plaintiffs, commencing the case *Ross, etc., et al. v. Sequoia Equities, Inc., etc., et al.*, Case No. MSC23-02401 (the "Class Action") pending in Department 39 of this Court. In this case, Plaintiffs filed an original complaint to which Sequoia and Alder Creek filed a demurrer. Before the demurrer was to be heard, Plaintiffs filed the FAC, the operative pleading in this case. Defendants did not file a demurrer to the FAC but now file a motion for judgment on the pleadings. Sequoia challenges nine of the eleven causes of action (all but the 6th C/A for breach of contract and 10th C/A for declaratory relief) for failure to state facts sufficient to state causes of action. Alder challenges all eleven causes of action against it.

Legal Standards Governing Motion for Judgment on the Pleadings

Code of Civil Procedure section 438 permits a defendant to move for judgment on the pleadings on the ground that the complaint does not state facts sufficient to constitute a cause of action against the defendant. (Code Civ. Proc. §§ 438(b)(1) and 438(c)(1)(B)(ii); *Stoops v. Abbassi* (2002) 100 Cal.App.4th 644, 650 ["Such motion may be made on the same ground as those supporting a general demurrer, i.e., that the pleading at issue fails to state facts sufficient to constitute a legally cognizable claim or defense. [Citation omitted.]".]) (See also *Connerly v. Schwarzenegger* (2007) 146 Cal.App.4th 739, 746 ["A motion for judgment on the pleadings is the equivalent of a demurrer made after the pleadings are in." [Citation omitted.]".])

The legal standards for determination of a motion for judgment on the pleadings are similar to the standards for determination of a demurrer. (*Eckler v. Neutrogena Corp.* (2015) 238 Cal.App.4th 433, 439.) The basis for judgment on the pleadings "shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice." (Code Civ. Proc. § 438(d).) As in

the case of a demurrer, the Court accepts all factual allegations of the complaint and "gives them a liberal construction." (*Gerawan Farming, Inc. v. Lyon* (2000) 24 Cal.4th 468, 515-16.)

A common law motion for judgment on the pleadings may similarly be made on the ground the complaint fails to allege facts sufficient to state a cause of action. (*Smiley v. Citibank (S.D.), N.A.* (1995) 11 Cal.4th 138, 146; *Saltarelli & Steponovich v. Douglas* (1995) 40 Cal.App.4th 1, 5 [treating motion to dismiss as a nonstatutory motion for judgment on the pleadings which may be granted if the complaint fails to state facts sufficient to constitute a cause of action].) "A common law motion for judgment on the pleadings 'ha[s] the purpose and effect of a general demurrer.' [Citations omitted.]" (*Smiley v. Citibank (S.D.), N.A., supra*, 11 Cal.4th at 146.)

Consistent with the rules for determination of a demurrer, a motion for judgment on the pleadings must fully dispose of the challenged cause of action. (*Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1167, overruled in part on other grounds by *Sheen v. Wells Fargo Bank, N.A., supra*, 12 Cal.5th at 919; *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682-1683.) Further, "If the motion for judgment on the pleadings is granted, leave to amend must be granted unless the defect cannot be cured by amendment." (*Hudson v. County of Los Angeles* (2014) 232 Cal.App.4th 392, 408.)

Note on Federal Case Authority

The causes of action alleged in the FAC are based on California statutory and common law. No claims based on federal law are alleged. Federal cases construing California law are at best persuasive authority and not binding authority on this Court. (*T.H. v. Novartis Pharmaceuticals Corp.* (2017) 4 Cal.5th 145, 175; *Beverage v. Apple, Inc.* (2024) 101 Cal.App.5th 736, 756, fn. 6.) The Court is bound to follow controlling published California case authority on matters of California law. (*Auto Equity Sales, Inc. v. Superior Court* (1962) 57 Cal.2d 450, 455-456; *ZF Micro Devices, Inc. v. TAT Capital Partners, Ltd.* (2016) 5 Cal.App.5th 69, 92.)

Plaintiffs' Procedural Arguments

Plaintiffs argue the motion for judgment on the pleadings is procedurally improper. They argue that the failure to demur to the first amended complaint constitutes a waiver of the right to file a motion for judgment on the pleadings, citing as their only authority for that proposition the Weil & Brown treatise, and specifically to paragraphs of that treatise that do not address or stand for that proposition. (Weil & Brown, *Civil Procedure Before Trial* (The Rutter Group 2025) ¶¶ 7.43 [a demurrer admits facts in complaint as opposed to legal conclusions] and 7.44 [no matter how unlikely the facts alleged may be].) Code of Civil Procedure section 430.41 addresses the meet and confer requirement and includes other provisions applicable to demurrers, not motions for judgment on the pleadings which are governed by Code of Civil Procedure sections 438 and 439. Under Code of Civil Procedure section 439(a)(4), "A determination by the court that the meet and confer process was insufficient shall not be grounds to grant or deny the motion for judgment on the pleadings." (Emphasis added.) (See also Code Civ. Proc. § 430.41(a)(4) [to the same effect for demurrers].)

Plaintiffs also cite a case, *Stalneck v. City of Novato* (2022) 81 Cal.App.5th 529, in support of their position that defendants waived the right to move for judgment on the pleadings because defendants did not demur to the FAC. (Opp. p. 4, ll. 20-24 ["The MJOP is not a vehicle to revive waived demurrer arguments (*Stalneck v. City of Novato* (2022) 81 Cal.App.5th 529, 537.)"].) The Court has been

unable to locate a published decision by that name, and the reporter citation appears in the middle of another, inapposite case, *Callanan v. Grizzly Designs, LLC* (2022) 81 Cal.App.5th 517, 529. Curiously, defendants' reply addresses and purports to distinguish the (apparently non-existent) *Stalnecker* case. (Reply p. 2, ll. 19-23.) The Court cannot determine whether or not the case was generated by an AI search. In case the parties are not aware, a published decision recently addressed the implications for attorneys of using AI-generated legal authority. (See generally *Noland v. Land of the Free, L.P.* (2025) 114 Cal.App.5th 426, 441-447.) Whether generated by AI or not, the Court disregards the decision that it has not been able to locate.

In addition, the legal proposition asserted by Plaintiffs as applied to the motion in this case is contrary to the applicable statutory authority. Defendants did not demur to the FAC but answered. The Code of Civil Procedure explicitly authorizes a motion for judgment on the pleadings to be made on the ground the complaint as a whole or specific causes of action fail to state facts sufficient to constitute a cause of action, a ground on which a demurrer may be made, and which is not waived by failing to demur to the pleading. (Code Civ. Proc. §§ 438(c)(1)(B)(ii) and 438(c)(2)(A); Code Civ. Proc. § 430.41(b) [grounds for subsequent demurrer where demurrer to earlier pleading was sustained]; Code Civ. Proc. § 430.80(a) [if party fails to object to complaint by demurrer or answer, party "is deemed to have waived the objection unless it is . . . an objection that the pleading does not state facts sufficient to constitute a cause of action." (emphasis added)].)

Plaintiffs' procedural objections to the motion are **overruled**.

Analysis

A. Conversion (1st C/A)

Plaintiffs' specific allegations on which the conversion cause of action is based are that Defendants took possession of 22 iPhones belonging to Plaintiffs which were to be used by Defendants in managing the properties. (FAC ¶ 45.) Defendants "knowingly or intentionally caused the [iPhones] became [sic] lost or remotely managed [?] by Defendants" which resulted in "substantial interference" with the iPhones and rendered them "unusable." (FAC ¶ 45.) Defendants "refused to return the iPhones to Plaintiffs in a usable condition." (FAC ¶ 45 [emphasis added].) Though in their opposition Plaintiffs argue the "wrongful retention" of the phones can constitute a conversion (Opp. p. 6, ll. 1-2), Plaintiffs do not allege the iPhones were not returned; rather, they allege they were not returned in a "usable" condition which implies they were returned but were somehow returned in a damaged condition.

1. Conversion (or Trespass to Chattels) Requires Intentional Act

" 'The tort of conversion is an "act of dominion wrongfully exerted over another's personal property in denial of or inconsistent with his rights therein." ' [Citation omitted.]" (*Multani v. Knight* (2018) 23 Cal.App.5th 837, 852.) " 'The elements of a conversion claim are: (1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages.' [Citation, internal quotation marks omitted.]" (*Lee v. Hanley* (2015) 61 Cal.4th 1225, 1240.) The Court in *Multani v. Knight, supra*, explained that conversion requires an intentional act, relying on another decision in which goods were destroyed by a fire while in the defendant's possession, "if return of the property to the plaintiff is impossible 'because the goods have been lost or destroyed, either without fault on the part of the bailee or merely because of

his negligence, there is no conversion. Negligence in caring for the goods is not an act of dominion over them such as is necessary to make the bailee liable as a converter.' [Citation omitted.]" (*Id.* at 853-854.)

Where the interference with the plaintiff's rights in personal property is not sufficient to be deemed a conversion, a claim for trespass to chattels may be stated, but that claim still requires intentional conduct. (*See also Intel Corp. v. Hamidi* (2003) 30 Cal.4th 1342, 1350-1351.) "Under California law, trespass to chattels 'lies where an intentional interference with the possession of personal property has proximately caused injury.' [Citation, italics omitted.] In cases of interference with possession of personal property not amounting to conversion, 'the owner has a cause of action for trespass or case, and may recover only the actual damages suffered by reason of the impairment of the property or the loss of its use.' [Citations omitted.] In modern American law generally, '[t]respass remains as an occasional remedy for minor interferences, resulting in some damage, but not sufficiently serious or sufficiently important to amount to the greater tort' of conversion. [Citation, italics omitted.]" (*Id.*) (*See also Jamgotchian v. Slender* (2009) 170 Cal.App.4th 1384, 1400-1401.)

2. Sham Pleading Doctrine

Plaintiffs' first cause of action as presently alleged no longer alleges economic damage based on overbilling, improper charges, or lost rentals. (*See* Orig. Compl. ¶ 45.) A fair reading of the first cause of action in the FAC instead alleges loss or damage to tangible personal property of Plaintiffs, the iPhones, not merely financial harm. (FAC ¶¶ 45, 46.) Where there is property damage, the economic loss rule does not bar a tort claim for negligence. (*Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 922 ["[T]here is no recovery in tort for negligently inflicted 'purely economic losses,' meaning financial harm unaccompanied by personal injury or property damage." (Emphasis added.)].)

Defendants contend the first cause of action is nevertheless barred because negligence or a breach of contract does not support a claim of conversion under *Multani*. (*Multani, supra*, 23 Cal.App.5th at 853-854.) Defendants argue that Plaintiffs' claim regarding the loss or injury to the iPhones in the original complaint was alleged in a claim for negligence (Orig. Compl. ¶ 44), which is insufficient to state a conversion claim under *Multani* and other authority. Negligent conduct would also not be sufficient to state a claim for trespass to the chattels.

Plaintiffs did not allege any additional facts in the FAC to support their conversion claim but merely added the word "intentionally" to the facts alleged in the original negligence cause of action. They changed their allegation that the phones "became lost or remotely managed [?]" to allege that Defendants "intentionally" caused the phones to "became [sic] lost or remotely managed [?]." (*Compare* Orig. Compl. ¶ 44 to FAC ¶ 45.)

Defendants argue the sham pleading doctrine applies as the allegations are inconsistent with the original complaint which alleged merely negligence in the handling of the phones. (*Deveny v. Entropin, Inc.* (2006) 139 Cal.App.4th 408, 425-427.) "Under the sham pleading doctrine, plaintiffs are precluded from amending complaints to omit harmful allegations, without explanation, from previous complaints to avoid attacks raised in demurrers or motions for summary judgment. [Citation omitted.] . . . [¶] The sham pleading doctrine is not 'intended to prevent honest complainants from correcting erroneous allegations ... or to prevent correction of ambiguous facts.' " [Citation omitted.] Instead, it is intended to enable courts 'to prevent an abuse of process.' " [Citation omitted.]" (*Id.* at 426 [emphasis added].) "A pleader may not attempt to breathe life into a complaint by omitting

relevant facts which made his previous complaint defective. [Citation omitted.] . . . 'A litigant should not be allowed to abuse the privilege of amendment. If the amended pleading is only a sham, and it is apparent that no cause of action can truthfully be stated, the court should disregard that pleading.' " (*Hills Transp. Co. v. Southwest Forest Industries, Inc.* (1968) 266 Cal.App.2d 702, 713.) (See also *Nolte v. Cedars-Sinai Medical Center* (2015) 236 Cal.App.4th 1401, 1406 [" 'A plaintiff may not avoid a demurrer by pleading facts or positions in an amended complaint that contradict the facts pleaded in the original complaint or by suppressing facts which prove the pleaded facts false.' [Citation omitted.]"]].)

Plaintiffs disregard Defendants' sham pleading argument in their opposition to the motion. They offer no explanation or basis for changing the claim for negligence resulting in the loss or damage to the iPhones in their original complaint into a claim in the FAC that Defendants "intentionally" caused the loss of the phones or "intentionally" returned the phones in an unusable condition. Plaintiffs have not explained the basis for changing the negligence allegations to "intentional" allegations and why the change is not a sham to avoid the claim being subject to demurrer, or a motion for judgment on the pleadings.

In the absence of any facts or argument by Plaintiffs to explain why the sham pleading doctrine does not apply, the Court **grants** the motion as to the first cause of action. The Court will allow Plaintiffs **leave to amend** to the extent Plaintiffs have additional facts to support the claim of intentional conduct by Defendants rendering the phones unusable and an explanation for the change in their allegations from negligence to intentional conduct.

B. Violation of Unfair Competition Law – (2nd C/A)

Plaintiffs allege violation of the Unfair Competition Law, Business & Professions Code section 17200, *et seq.* ("UCL") in their second cause of action. Statutory causes of action must be pleaded with particularity; the "complaint must plead every fact which is essential to the cause of action under the statute." (*Baskin v. Hughes Realty, Inc.* (2018) 25 Cal.App.5th 184, 207.) (See also *Fischer v. San Pedro Peninsula Hospital* (1989) 214 Cal.App.3d 590, 604.)

Plaintiffs allege that Defendants violated Civil Code section 1950.5(b) "by levying unreasonable, excessive and unlawful charges against the security deposits of Plaintiffs' tenants." (FAC ¶ 41.) (See also FAC ¶ 40.) The allegations are incorporated into the second cause of action. (FAC ¶ 48.) Plaintiffs allege that "[a]ll of the conduct described herein was done in violation of the [Management] Agreements" and without Plaintiffs' knowledge. (FAC ¶ 50.)

1. Law Governing UCL Claim

"Business and Professions Code section 17200 *et seq.* prohibits unfair competition, including unlawful, unfair, and fraudulent business acts. The UCL embraces 'anything that can properly be called a business practice and that at the same time is forbidden by law.' [Citations and internal quotations omitted.]" (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1143.) A claim for unfair business practices under the UCL by its terms may be asserted for practices that are "unfair," "unlawful," or "fraudulent." (Bus. & Prof. Code § 17200.) The statute is written in the disjunctive so that allegations meeting any one of the three prongs are sufficient. (*Prakashpalan v. Engstrom, Lipscomb & Lack* (2014) 223 Cal.App.4th 1105, 1133.) "[A] breach of contract may . . . form the predicate for Section 17200 claims, *provided it also constitutes conduct that is 'unlawful, or unfair,*

or fraudulent.' [Citations, internal quotation marks omitted, italics in original.]" (*Puentes v. Wells Fargo Home Mortgage, Inc.* (2008) 160 Cal.App.4th 638, 645.)

The remedies available in a UCL action by a private plaintiff are limited to restitution and injunctive relief. (*Korea Supply, supra*, 29 Cal.4th at 1144 ["A UCL action is equitable in nature; damages cannot be recovered."].) (See also *Lee v. Luxottica Retail North America, Inc.* (2021) 65 Cal.App.5th 793, 800 [only available relief is restitution, not damages, under UCL].) The Court in *Korea Supply* held the demurrer to the UCL claim in that case should have been sustained because the plaintiff did not state a claim for restitution. "The object of restitution is to restore the status quo by returning to the plaintiff funds in which he or she has an ownership interest. [¶] The remedy sought by plaintiff in this case is not restitutionary because plaintiff does not have an ownership interest in the money it seeks to recover from defendants. . . . [¶] Further, the relief sought by plaintiff is not restitutionary under an alternative theory because plaintiff has no vested interest in the money it seeks to recover." (*Korea Supply, supra*, 29 Cal.4th at 1146-1151, in particular 1149.)

2. Application to the UCL Claim Alleged by Plaintiffs

Plaintiffs allege, among other things, that Defendants as Plaintiffs' agent violated Civil Code section 1950.5(b) regarding the handling of tenant security deposits "systematically, uniformly, and in bad faith." (FAC ¶ 41.) They allege Defendants also breached the Management Agreements and then specify a series of acts and omissions related to the management of the properties in the second cause of action, including failure to comply with California law on tenant security deposits and failure to provide proper accountings. (FAC ¶¶ 41, 50.) These allegations plead facts essential to state the unlawful or unfair requirement of a UCL statutory claim.

Plaintiffs, however, have not alleged facts stating a right to restitutionary relief under the UCL. They explicitly allege the "financial injury" and "lost property or money" resulted in "monetary damages to Plaintiffs, relief for which is set forth herein." (FAC ¶ 52.) In their Opposition, they argue, without citation to authority, that the injuries they allege are "concrete" under the UCL, because they allege as a result of the unlawful or unfair conduct, they were "named as defendants in a related class action, incurring legal fees and reputational harm." (Opp. p. 6, ll. 18-20.) Concrete injury is not the standard for pleading a right to relief under the UCL. Damages for "reputational harm" is not a right to restitution under *Korea Supply*. That Plaintiffs may have incurred damages for attorneys' fees because they are having to defend the class action is not a claim for restitutionary relief either. (*Korea Supply, supra*, 29 Cal.4th at 1146-1151.)

The motion for judgment on the pleadings as to the second cause of action is **granted, with leave to amend.**

C. Breach of Fiduciary Duty (3rd C/A)

Plaintiffs allege Sequioia (or "defendants") agreed "in writing" to act as a fiduciary for the management of each apartment property and to perform various management duties and other obligations, citing the Management Agreement attached as Exhibit A as the basis for the obligations they allege Sequioia agreed to. (FAC ¶¶ 34-38.) (The Court addresses the motion and the allegations of the FAC 3rd through 11th C/As as they pertain to Alder Creek in a separate section below.) These allegations are incorporated into the third cause of action. (FAC ¶ 53.)

In the breach of fiduciary duty cause of action, Plaintiffs reiterate that defendants agreed in writing to

be fiduciaries and cite to the obligations they agreed to perform as part of their fiduciary duty under the Management Agreements. (FAC ¶¶ 54, 56.) They allege Sequoia breached its fiduciary duty in various ways, specifically: "failing to provide proper accountings of rents and expenses, failing to get informed consent from the Plaintiffs regarding Defendants' handling of tenants' security deposits, for violation of California Civil Code § 1950, et seq., improperly withholding tenants' security deposits, overcharging tenants, failing to properly charge tenants for rent and expenses under the tenant leases, overcharging for vendor costs, overcharging Plaintiffs for labor, falsifying vendor expenses, failing to obtain approved budgets from Plaintiffs, failing to properly collect rents and other income belonging to Plaintiffs, failure to provide proper legal notices to tenants and subjecting Plaintiffs to legal claims from tenants as a result of Defendants' mismanagement." (FAC ¶ 56 [emphasis added].) They allege generally defendants failed to exercise "ordinary care and diligence" and that Plaintiffs "have been or will be harmed." (FAC ¶¶ 57, 58.)

1. The Economic Loss Rule

The California Supreme Court recently addressed the economic loss rule in *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1. The economic loss rule "is deceptively easy to state: In general, there is no recovery in tort for negligently inflicted "purely economic losses," meaning financial harm unaccompanied by physical or property damage." [Citation omitted.] Or, as *Robinson* phrased the rule: "[t]he economic loss rule requires a [contractual party] to recover in contract for purely economic loss due to disappointed expectations, unless [the party] can demonstrate harm above and beyond a broken contractual promise." [Citation omitted.]" (*Id.* at 20 [quoting *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 988].)

The issue as framed in *Rattagan* and the decisions on which *Rattagan* relied is: under what circumstances can a party to a contract seek tort recovery against the other party to the agreement for claims arising out of the subject matter of the contract? The Court in *Rattagan* explained that the economic loss rule is a "specific application" of the "independent tort principle" doctrine differentiating between contract and tort obligations, which it describes in exhaustive detail. (*Rattagan, supra*, 17 Cal.5th at 37.) "[T]ort recovery for breach of a contract duty is generally barred . . . unless two conditions are satisfied. A plaintiff must first demonstrate the defendant's injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract. Second, the defendant's conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed." (*Id.* at 20-21 [emphasis added].)

The Court in *Rattagan* explains that tort and contract obligations differ. "A tortfeasor is held liable not for violating a contract, but for violating an independent legal duty. [¶] [T]o be held liable in tort, a defendant must commit a tort. If all the defendant has allegedly done is violate the terms of the parties' contract, depriving the plaintiff of the benefits the contract ensures, the defendant's liability is limited by the contract. Broader tort liability only arises if a defendant violates an independent legal duty and the type of harm that ensues was not reasonably contemplated or accounted for by the contractual parties." (*Id.* at 37 [emphasis added].) *Rattagan* and *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979 held claims grounded in intentional misrepresentation or fraudulent concealment were not barred by the economic loss rule, to the extent the fraud or concealment violates an independent legal duty and is not based solely on a breach of the contract terms.

(*Rattagan, supra*, 17 Cal.5th at 30-38 [explaining the *Robinson* decision] and 42-45 [holding economic loss rule does not bar claim for fraudulent concealment, not just claim for fraud based on affirmative misrepresentations].)

2. Application to the Breach of Fiduciary Duty Claim

While an agent for a principal may have fiduciary duties within the scope of the agency which can be breached, the facts Plaintiffs expressly allege to state the breach of fiduciary duty claim are duties Plaintiffs contend were set forth in the Management Agreements, including its agreement to perform as a limited fiduciary under the terms of the agreements. (FAC Exh. A [Mgmt Agmt Section 3.1 ["Owner hereby grants to Manager the right, subject to the provisions hereof, to manage, operate, obtain leases for, collect rents from, and maintain the Property for the account of Owner, and Manager hereby accepts said grant and agrees that it will manage, operate, obtain leases for, collect rents from, and maintain the Property pursuant to the terms and conditions of this Agreement. Manager shall act in a fiduciary capacity with respect to the proper protection of, and accounting for, Owner's assets to the extent in Manager's possession or control. In this capacity, Manager shall deal at arm's length with all third parties. Owner acknowledges that Manager performs similar management services to others, including affiliates of Manager. Manager shall devote its best efforts consistent with first-class professional leasing and management of the Property and perform its duties and obligations hereunder with due diligence and care and in good faith so as to manage, obtain leases for, operate, collect rents from and maintain the Property in a first-class manner comparable to similar properties in similar locations."].) The Management Agreements specifically cover compliance with laws, collection of rents, leasing, and accounting. (FAC Exh. A [Mgmt. Agmt. sections 3.5, 3.7, 3.13, 5.1].)

In their Opposition, Plaintiffs assert that they allege Defendants breached their fiduciary duties to them by Sequoia "misappropriating funds, failing to return Plaintiffs' property (including iPhones), and engaging in self-dealing." (Opp. p. 6, ll. 23-25.) The breaches of fiduciary duty allegedly committed by Sequoia set forth in paragraph 56 of the FAC do not include failing to return the iPhones or returning the phones in a damaged condition, "misappropriation" of Plaintiffs' funds or "self-dealing." Plaintiffs' Opposition does not cite any specific paragraphs of the FAC on which they rely to support their position. (See Opp. p. 6, ll. 23-25.) The allegations of paragraph 56 cited above generally allege Sequoia failed to use "ordinary care and diligence" in its provision of the management services under the Management Agreements. (FAC ¶ 57.) In their opposition, Plaintiffs also refer to "statutory fiduciary duties" but cite only FAC paragraphs 35 and 37 which in turn cite only provisions of the Management Agreement attached to the FAC.

The breach of fiduciary duty claim as pled in the FAC also fails to allege facts to support the second requirement for the application of the independent tort doctrine and inapplicability of the economic loss rule, which is that the injury or damage Plaintiffs contend they suffered from the alleged breaches was outside the contemplation of the parties when they entered into the Management Agreements. (*Rattagan, supra*, 17 Cal.5th at 2021.) Plaintiffs merely allege that based on the breaches stated in paragraph 56, they have been harmed and suffered damages. (FAC ¶¶ 58, 59.) They do not allege facts showing they sustained damages or injury outside of the types of damage or injury the parties contemplated they would suffer from breach of Sequoia's obligations under the Management Agreements, including the covenant that Sequoia would act as a fiduciary for the limited purposes of

those agreements.

Plaintiffs may be able to allege additional facts to demonstrate these causes of action are not barred by the economic loss rule. They will be given an opportunity to do so. The motion is **granted** as to the third cause of action, **with leave to amend**.

D. Negligent and Intentional Misrepresentation (4th and 5th C/As)

In the negligent misrepresentation cause of action, the only misrepresentations Plaintiffs allege Sequoia made are the description of the duties Sequoia agreed to undertake in the written Management Agreement for the future management of the properties. Plaintiffs allege the misrepresentations were made when two officers of Sequoia signed the Management Agreement, including the provision of the Management Agreement that Sequoia would devote its best efforts to the management of the properties "consistent with first class professional leasing and management." (FAC ¶¶ 60 [incorporating FAC ¶¶ 34-38 and Exh. A], 61, 62.) They then make the conclusory allegation that defendants had no basis for believing the "representations" when made. (FAC ¶ 63.) They allege generally that Plaintiffs relied on the "representations" and suffered damages. (FAC ¶ 64.)

The fraud and intentional misrepresentation cause of action similarly is founded on the alleged representation in writing regarding Sequoia's agreement to act in a fiduciary capacity in the conduct of its future management of the properties under the Management Agreement. (FAC ¶¶ 66, 67.) Plaintiffs allege generally that the "defendants" "knew the representations were false when made" or the representations were made recklessly without regard to their truth. (FAC ¶ 68.) They allege defendants made the representations with intent for Plaintiffs to rely on them by signing the Management Agreements, that they signed the agreements and paid fees and commissions, and have been harmed as a result. (FAC ¶¶ 69, 70.)

1. Elements of Intentional and Negligent Misrepresentation and Heightened Pleading Standard

Fraud must be pled with specificity: the plaintiff is required to plead the "who, what, when, and where" of the alleged misrepresentation. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645) "A plaintiff's burden in asserting a fraud claim against a corporate employer is even greater. In such a case, the plaintiff must 'allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.' " (*Id.* [quoting *Tarmann v. State Farm Mutual Auto. Ins. Co.* (1991) 2 Cal. App. 4th 153, 157].)

The elements of fraud are " '(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or "scienter"); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.' [Citations omitted.]" (*Lazar, supra*, 12 Cal.4th at 638.) Generally, to be actionable under a fraud cause of action for intentional or negligent misrepresentation, the misrepresentation generally must be one of a past or existing fact, not a prediction of future performance. (*Neu-Visions Sports v. Soren/McAdam/Bartells* (2000) 86 Cal.App.4th 303, 309-310 [" 'It is hornbook law that an actionable misrepresentation must be made about past or existing facts; statements regarding future events are merely deemed opinions. [Citations.]' [Citations omitted.]"].) (*See also Granadino v. Wells Fargo Bank, N.A.* (2015) 236 Cal.App.4th 411, 417 [distinguishing a representation from a promise, which is an " 'assurance that a

person will or will not do something.' [Citation omitted.]"). " 'Promissory fraud' is a subspecies of the action for fraud and deceit. A promise to do something necessarily implies the intention to perform; hence, where a promise is made without such intention, there is an implied misrepresentation of fact that may be actionable fraud. [Citations omitted.]" (*Lazar, supra*, 12 Cal.4th at 638.)

"The elements of negligent misrepresentation are (1) the misrepresentation of a past or existing material fact, (2) without reasonable ground for believing it to be true, (3) with intent to induce another's reliance on the fact misrepresented, (4) justifiable reliance on the misrepresentation, and (5) resulting damage. [Citation omitted.] In contrast to fraud, negligent misrepresentation does not require knowledge of falsity. A defendant who makes false statements ' "honestly believing that they are true, but without reasonable ground for such belief, . . . may be liable for negligent misrepresentation . . . " [Citations.]' [Citation omitted.] However, a positive assertion is required; an omission or an implied assertion or representation is not sufficient. [Citations omitted.]" (*Apollo Capital Fund LLC v. Roth Capital Partners, LLC* (2007) 158 Cal.App.4th 226, 243.)

California does not recognize a claim for false promise based on a negligent misrepresentation. (*Tarmann v. State Farm Mutual Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 158-159 ["[A]n action based on a false promise is simply a type of intentional misrepresentation, i.e., actual fraud. The specific intent requirement also precludes pleading a false promise claim as a negligent misrepresentation, i.e., 'The assertion, as a fact, of that which is not true, by one who has no reasonable ground for believing it to be true.' [Citation omitted.]").) To state a claim for fraud based on a false promise the complaint must allege more than the promises and the defendant's failure to perform. Plaintiffs must allege additional facts and circumstances that support an inference of a promise made without intent to perform, instead of an agreement honestly made that was not performed. (*Id.* at 159 ["Simply put, making a promise with an honest but unreasonable intent to perform is wholly different from making one with no intent to perform and, therefore, does not constitute a false promise."].) (*See also Hills Transp. Co. v. Southwest Forest Industries, Inc.* (1968) 266 Cal.App.2d 702, 708 ["In so differentiating a false promise from the great bulk of broken promises, the allegations necessary to show contemporaneous intention not to perform should be clear, specific, and unequivocal. [Citations omitted.]"].)

2. Application to the Claims Pled in the FAC

Plaintiffs have pled that Sequoia made a "representation" in writing to Plaintiffs when Sequoia's identified representatives signed the Management Agreements which described the role Sequoia would undertake as property manager, as set forth above. Though specific, the "representations" alleged in the FAC on which both the negligent and intentional misrepresentation claims are based, the only ones pled with specificity, and that Plaintiffs allege were "false" are the covenants or promises made in the Management Agreements regarding Sequoia's future operation of the properties under that agreement. (FAC ¶¶ 34-38, 61, 62, 66, 67.)

Plaintiffs implicitly concede that the basis of these causes of action is promissory fraud by arguing that there are other facts alleged in the FAC (without reference to any specific paragraphs) that support an inference "Defendants never intended to honor their contractual promises at the time they were made." (Opp. p. 8, ll. 1-2.) The allegations of the FAC do not support the negligent misrepresentation cause of action because California does not recognize a claim for negligent

misrepresentation based on a false promise. (*Tarmann, supra*, 2 Cal.App.4th at 158-159.)

As to the intentional misrepresentation claim, the FAC fails to allege sufficient facts with specificity to support that Sequoia made the promises alleged, by entering into the Management Agreements, without intent to perform at the time the Management Agreements were made. The FAC alleges Sequoia made certain promises in the Management Agreements in paragraphs 66 and 67 in the fifth cause of action and that they were "false when made, or they made the representations recklessly and without regard for the truth of the representations." (FAC ¶ 68.) Plaintiffs' Opposition does not direct the Court to any "clear, specific, and unequivocal" factual allegations in specific paragraphs of the FAC that support the conclusory allegations or contentions in paragraph 68, or which show that at the time Sequoia entered into each of the Management Agreements, it had no intention to perform its promises. (*Hills Transp. Co., supra*, 266 Cal.App.2d at 708.)

Plaintiffs also argue in their Opposition that Sequoia "represented that all rents had been collected and remitted, that security deposits were properly held and accounted for, and that the properties were being properly maintained, when in fact these representations were false." (Opp. p. 13-15.) Plaintiffs again cite no paragraphs of the FAC in which these representations are alleged to support their argument. Further, those representations reflect facts that would have necessarily arisen after the Management Agreements were entered into. Plaintiffs do not allege in the FAC any specific facts regarding representations made by Sequoia post-contract execution by any identified personnel of Sequoia, made in any specific manner or at any specific time during the performance of the Management Agreements, nor does Plaintiffs' Opposition cite any such allegations in their argument regarding these claims.

Plaintiffs' argument that negligent misrepresentation can be stated against a licensed real estate professional as a fiduciary based on their duty "to provide Plaintiffs with accurate information" implicitly refers to post-contract execution information that Plaintiffs contend Sequoia provided that was inaccurate. (Opp. p. 8, ll. 3-6.) The FAC does not allege (a) who provided inaccurate information, (b) when and in what manner the inaccurate information was provided, (c) to whom was the inaccurate information provided, and (d) what information specifically was inaccurate. Such specific, not general or conclusory, factual allegations are required to meet the pleading specificity standards if the Plaintiffs contend that Sequoia made post-execution representations such as those described in the opposition to support the fraud and negligent misrepresentation claims.

Given these deficiencies, the Court need not reach the additional ground for the motion for judgment on the pleadings on the fourth and fifth causes of action based on the economic loss rule. The motion for judgment on the pleadings as to the fourth and fifth causes of action is **granted, with leave to amend**.

E. Tortious Interference with Contractual Relations and Negligent Interference with Prospective Business Advantage (7th and 8th C/As)

"To state a claim for tortious interference with contractual relations, a plaintiff must allege: ' (1) a valid contract between plaintiff and a third party; (2) defendant's knowledge of this contract; (3) defendant's intentional acts designed to induce a breach or disruption of the contractual relationship; (4) *actual breach or disruption* of the contractual relationship; and (5) resulting damage.' " [Citation omitted.] As to the fourth element, a defendant's conduct may give rise to a claim for tortious interference with contractual relations if it induces an actual breach of plaintiff's contract, or 'if

plaintiff's performance is made more costly or more burdensome.' [Citation omitted.]" (*Rincon Band of Luiseño Mission Indians etc. v. Flynt* (2021) 70 Cal.App.5th 1059, 1129.)

The elements of a claim for interference with prospective economic advantage are: " '(1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentional [or negligent] acts on the part of the defendant designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to the plaintiff proximately caused by the acts of the defendant. [Citations.] [Citation.] [Citation.]" [Citation, some internal quotation marks omitted.]" (*Crown Imports, LLC v. Superior Court* (2014) 223 Cal.App.4th 1395, 1404.) To state the cause of action, there must be "an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff." (*Id.*)

" '[A] stranger to a contract may be liable in tort for intentionally interfering with the performance of the contract.' [Citation omitted.]" (*Mintz v. Blue Cross of California* (2009) 172 Cal.App.4th 1594, 1603 [quoting *Pacific Gas & Electric Co. v. Bear Stearns & Co.* (1990) 50 Cal.3d 1118, 1126 cited by Plaintiffs].) Subsequent cases hold the phrase means "one who is not a party to the contract or an agent of a party to the contract." [Citation omitted.]" (*Caliber Paving Co., Inc. v. Rexford Industrial Realty & Management, Inc.* (2020) 54 Cal.App.5th 175, 184 [268 Cal.Rptr.3d 443].) However, "it is settled that 'corporate agents and employees acting for and on behalf of a corporation cannot be held liable for inducing a breach of the corporation's contract.' [Citation omitted.]" (*Mintz, supra*, 172 Cal.App.4th at 1604 [holding that Blue Cross who was acting as claims administrator and agent for CalPERS under an insurance contract between the plaintiff Mintz and CalPERS "was vested with the power to act for CalPERS, and therefore cannot be held liable for interference with the very contract it was charged with administering."].) "Because the representative of a contracting party may not be held liable for the tort of interfering with its principal's contract," the plaintiff in *Mintz* was held not to be able to state a claim for intentional interference with contract rights against Blue Cross. (*Id.* at 1607.)

1. Plaintiffs' Allegations

In the seventh cause of action, Plaintiffs allege they had existing leases with tenants which were subject to the Management Agreements, that Sequoia, among other things, as part of its management failed to properly staff the properties, train and supervise its employees, respond to tenant complaints, and charged unlawful and excessive charges to Plaintiffs' tenants and therefore "intentionally induced tenants to breach their contracts with Plaintiffs." (FAC ¶ 78.) They allege Sequoia's acts or omissions "caused certain tenants to either break their contracts, or decide not to renew their contracts on expiration of the specified tenancy." (FAC ¶ 78.) They also allege Sequoia's acts or omissions caused the tenants to file a class action lawsuit against Plaintiffs causing damage to Plaintiffs. (FAC ¶ 79.)

In the eighth cause of action, Plaintiffs allege Sequoia acted in a manner "to disrupt, destroy and interfere with prospective business opportunities . . . and existing business relationships between Plaintiffs" and their tenants. (FAC ¶ 82.) Plaintiffs allege the same failures as in the interference with contractual relations claim (compare FAC ¶ 78 and FAC ¶ 84), and they also allege interference with Plaintiffs' tenant relationships by overcharging tenants and undercharging tenants at move out, resulting in an interference with Plaintiffs' relationship with their tenants and the leases Plaintiffs had

with the tenants. (FAC ¶¶ 85, 86.)

2. Sham Pleading Argument

Defendants argue that the original complaint only alleged the filing of the class action by the tenants based on the mishandling of the tenant security deposits as the basis for the interference with contractual relations cause of action, and that Plaintiffs violate the sham pleading rule by alleging additional facts to support the claim. The sham pleading rule as cited above prohibits a party from making additional allegations in an amended pleading that are inconsistent with or contradictory to allegations in a prior pleading but not making adding more facts consistent with the prior pleading to support the claim. Indeed, a demurrer will often prompt a plaintiff to expand its factual allegations to overcome pleading deficiencies. The additional allegations made by Plaintiffs do not contradict the original complaint, unlike the unexplained change made in the conversion cause of action.

3. Mintz Unaddressed

As to the seventh cause of action for interference with contractual relations, Defendants argue that Sequoia as Plaintiffs' agent managing or administering the tenant contracts under the Management Agreements cannot be held liable for interference with Plaintiffs' tenant contracts. (*Mintz, supra*, 172 Cal.App.4th at 1603-1604.) Plaintiffs do not respond to this argument or address the authority that appears to preclude Plaintiffs' stating the seventh cause of action. Based on *Mintz* and similar authority cited above, the Court **grants** the motion for judgment on the pleadings as to Sequoia on the seventh cause of action. Though it is not clear to the Court how this cause of action may be amended to state a valid claim and overcome *Mintz*, the Court **grants Plaintiffs leave to amend** this cause of action.

4. Prospective Business Advantage Where Plaintiffs Allege Tenants Were Leaving the Properties

Sequoia contends Plaintiffs cannot state an interference with prospective business advantage because the FAC alleges the tenants were moving out when their security deposits were allegedly mishandled, and therefore no future economic relationship between Plaintiffs and the tenants was contemplated. The eighth cause of action, however, is not limited to claims based on mishandled security deposits for tenants who had ended their leases. The FAC alleges acts and omissions in Sequoia's management of tenant relationships, including not responding to tenant complaints and charging improper amounts to the tenants, which caused some tenants to not renew their leases.

For purposes of the standard for ruling on a motion for judgment on the pleadings, like a demurrer, the facts allege a prospective business relationship with a probable future benefit to Plaintiffs (i.e., the renewal of a lease) which Sequoia interfered with based on the foregoing acts and omissions that caused Plaintiffs damage through the loss of Plaintiffs' prospective relationship with those tenants. (FAC ¶¶ 84-86.) These allegations are sufficient to state the eighth cause of action for interference with prospective economic advantage. The motion as to Sequoia on the eighth cause of action is **denied**.

F. Constructive Fraud by Defendants as Real Estate Brokers (9th C/A)

Constructive fraud requires the plaintiff to demonstrate: "(1) a fiduciary relationship, (2) nondisclosure, (3) intent to deceive, and (4) reliance and resulting injury. Constructive fraud is any

breach of duty that, without fraudulent intent, gains an advantage to the person at fault by misleading another to his prejudice. [Citations omitted.] Like an action for fraud, constructive fraud must be pled with specificity. [Citation omitted.]" (*Tindell v. Murphy* (2018) 22 Cal.App.5th 1239, 1249-1250.)

1. Plaintiffs' Allegations

Plaintiffs allege that Sequoia failed to disclose to Plaintiffs various generically alleged acts and omissions by Sequoia in its management of the properties, including its alleged failure to properly screen tenants, staff properties, collect rent and income, train and supervise employees, and respond to tenant complaints, its imposing improper (or "fabricated") charges on tenants, and its mishandling of tenant security deposits. (FAC ¶¶ 90, 93.) Plaintiffs also allege Sequoia held an undescribed "financial advantage over Plaintiffs," and misled Plaintiffs by "misrepresenting" it would use its best efforts to perform its obligations under the Management Agreements "with due diligence, care and good faith" so that Plaintiffs would sign the Management Agreements. (FAC ¶ 92.) They allege these acts and omissions caused damage to Plaintiffs and the tenants.

2. Specificity Requirement Applied

This cause of action does not meet the specificity requirement for pleading constructive fraud. Plaintiffs' allegations are general and lack facts stating the "who, what, when, where and how" of the constructive fraud. No time frame for any of the omissions or improper acts is alleged to support this cause of action. The FAC contains no specific allegations as to the tenants who were not properly screened, the properties that were not sufficiently staffed, the rents or income not collected, the employees not properly trained or supervised, the lack of response to tenant complaints, or the mishandling of tenant charges or security deposits. Plaintiffs seem to reiterate their promissory fraud allegations in paragraph 92 which fail for the same reasons set forth above. There are no allegations as to when and how Plaintiffs learned of the allegedly undisclosed information.

The motion for judgment on the pleadings as to Sequoia on the ninth cause of action is **granted, with leave to amend**.

G. Accounting (11th C/A)

"An action for an accounting has two elements: (1) 'that a relationship exists between the plaintiff and defendant that requires an accounting' and (2) 'that some balance is due the plaintiff that can only be ascertained by an accounting.' [Citation omitted.]" (*Sass v. Cohen* (2020) 10 Cal.5th 861, 869 [quoting *Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 179.]) "An action for an accounting has been characterized as 'a means of discovery.' (*Teselle, supra*, 173 Cal.App.4th at p. 180 ['the purpose of the accounting is, in part, to discover what, if any, sums are owed to the plaintiff, and an accounting may be used as a discovery device'].)" (*Id.*) "[T]he defendant in an accounting action possesses information unknown to the plaintiff that is relevant for the computation of money owed." (*Id.*)

Plaintiffs allege sufficient facts to state a claim for an accounting based on the two elements set forth in *Teselle* and adopted by the Court in *Sass*. The FAC adequately alleges that Sequoia possesses financial information regarding the properties that is not known to Plaintiffs and that requires Sequoia to account for the properties' income and expenses which were undisputedly managed by

Sequoia as their agents. (FAC ¶¶ 34, 35, 37, 39-41, 100, 101.)

"Under our system of pleading, a cause of action for accounting need only state facts showing the existence of the relationship which requires an accounting and the statement that some balance is due the plaintiff." (*Brea v. McGlashan* (1934) 3 Cal.App.2d 454, 460.) In *Brea*, cited by Sequoia, the Court held that a demurrer was properly overruled to an employee's claim for an accounting despite employee's allegation that the employee was due \$8,000, which the Court characterized as surplusage. (*Id.*) The Court held the claim was adequately alleged against the employer by the employee alleging she was to be paid a percentage of moneys received by the employer and that the employee did not know the amount the employer had received. (*Id.*) Neither *Brea* nor *Teselle* state an accounting cause of action must allege the accounts are "so complicated" that an ordinary legal action is inadequate. In any event, allegations that Sequoia had agreed at least to a limited fiduciary duty to Plaintiffs in the Management Agreements under which it was responsible for handling the income and expenses for the properties, including tenant security deposits and other charges made to tenants and vendor expenses, are sufficient to show the accounts are complicated and require an accounting from Sequoia.

The motion for judgment on the pleadings as to Sequoia in the 11th C/A is **denied**.

H. Defendants' Contention that Claims Are Founded on the Class Action

Defendants assert that the entire FAC is founded on the fact Plaintiffs were sued in the Class Action, and that because Plaintiffs have now been dismissed from the Class Action, the claims in the FAC fail. While the FAC alleges Plaintiffs were sued in the Class Action, and while some of the breaches of management duties alleged in the FAC may also be acts or omissions alleged by the tenants as wrongful and injurious to the tenants in their Class Action complaint, there are other allegations of violations of the duties under the Management Agreements, such as failure to collect rents due, which are not. Further, even if the Court considered the stipulation in the Class Action attached as Exhibit 4 to the Davidson Declaration despite the lack of a request for judicial notice, the stipulation on its face indicates it resulted in the dismissal of the Plaintiffs without prejudice, such that the tenants' claims could potentially be renewed against the Plaintiffs. The motion for judgment on the FAC in its entirety on this ground is **denied**.

I. Claims Against Alder Creek Asserted in 3rd Through 11th C/As

The FAC alleges Alder Creek invests and manages apartment buildings and holds a real estate license. (FAC ¶¶ 28, 32.) Plaintiffs also allege on information and belief generically that each of the defendants is an agent or representative of the other defendants. (FAC ¶ 30.) When an allegation is made on information and belief, the complaint must also allege the facts that are the basis for plaintiff's information and belief. (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 ["[p]laintiff may allege on information and belief any matters that are not within his personal knowledge, if he has information leading him to believe that the allegations are true."], quoting *Pridonoff v. Balokovich* (1951) 36 Cal.2d 788, 792[.]) (See also *Brown v. USA Taekwondo* (2019) 40 Cal.App.5th 1077, 1106-1107, affirmed by *Brown v. USA Taekwondo* (2021) 11 Cal.5th 204.)

The FAC alleges Plaintiffs entered into a property management agreement with Sequoia, an exemplar copy of which is attached to the FAC as Exhibit A, and which identifies only plaintiff Fuller Properties and Sequoia as parties. (FAC ¶ 34 and Exh. A.) There are other allegations that specifically refer to

agreements made by Sequoia regarding the management of the property. (See, e.g., FAC ¶¶ 34, 35, 37.) Otherwise, the FAC generally alleges the acts and omissions of "defendants," and the 3rd through 11th causes of action are alleged against "all defendants," including Sequoia, Alder Creek and the fictitious "Doe" defendants.

1. Allegations Insufficient to Pursue Claims Against Alder Creek Based on Alter Ego

Plaintiffs argue they have alleged claims against Alder Creek based on "alter ego." Plaintiffs make the conclusory allegation that there is a "unity of interest" between Sequoia and Alder; contrary to Plaintiffs' Opposition, that paragraph of the FAC does not allege that there is a unity of "ownership" between the entities or that "any separateness between them has ceased to exist" or any facts that would support such factual conclusions. (Compare FAC ¶ 33 to Opp. p. 12, ll. 1-3.) They make a single, conclusory allegation of a "unity of interest" between the entities, which is not enough to support alter ego liability. (See, e.g., *Leek v. Cooper* (2011) 194 Cal.App.4th 399, 411, 415 ["[the plaintiff must] allege sufficient facts to show a unity of interest and ownership, and an unjust result if the corporation is treated as the sole actor." [Citation omitted.]] (Emphasis added.)).

Plaintiffs argue that an agent or alter ego can be held liable for the acts of the principal "where, as here, the agent participated in or directed the wrongful conduct, or where the entities are so interrelated that treating them as separate would promote injustice." (Opp. p. 12, ll. 4-9, citing *Mesler v. Bragg Management Co.* (1985) 39 Cal.3d 290, 300; *Sonora Diamond Corp. v. Superior Court* (2000) 83 Cal.App.4th 523, 538.) This general statement of the law may be accurate. It does not apply to the FAC in this case because the FAC does not allege facts regarding Alder Creek that meet the conditions stated, including any facts showing that Alder Creek agreed to be bound to the Management Agreements, that Alder Creek participated in or directed any of the alleged violations of the Management Agreements or other alleged misconduct, or that Sequoia and Alder Creek are "so interrelated that treating them as separate would promote injustice." (Opp. p. 12, ll. 4-9.)

2. Breach of Fiduciary Duty (3rd C/A)

The deficiency in the allegations of the third cause of action against Sequoia also apply to this cause of action asserted against Alder Creek. There are additional deficiencies as to Alder Creek.

The FAC alleges that the Sequoia agreed to act as Plaintiffs' fiduciary in the Management Agreements and agreed to provide property management services to Plaintiffs under the Management Agreements. (FAC ¶¶ 34, 35 and Exh. A.) Alder Creek is not a party to the Management Agreements. Plaintiffs have not alleged facts showing Alder Creek agreed to act as Plaintiffs' management agent for the properties or to act as Plaintiffs' fiduciary, and its allegation that "Defendants, and each of them, represented in writing to be the fiduciary of Plaintiffs" is contrary to the Management Agreement, Exhibit A, which Plaintiffs cite and rely on for that allegation. (Compare to FAC ¶¶ 34, 35 and Exh. A.) " 'Facts appearing in exhibits attached to the first amended complaint also are accepted as true and are given precedence, to the extent they contradict the allegations.' [Citations omitted.]" (*Nolte v. Cedars-Sinai Medical Center, supra*, 236 Cal.App.4th at 1406.) (See also *Panterra GP, Inc. v. Superior Court* (2022) 74 Cal.App.5th 697, 719 ["The allegations in the body of the first amended complaint indicated that Panterra Development Ltd., L.L.P., and Panterra GP, Inc., collectively entered into the project contract with Rosedale. However, this allegation was squarely contradicted by all three exhibits to the first amended complaint, that is, the contract, the mechanics lien, and the partial release of mechanics lien, each of which clearly indicated that Panterra Development Ltd., L.L.P., was

the 'Contractor' that entered into the project contract with Rosedale and the general contractor for the project. Even if the first amended complaint were read to allege that Panterra GP, Inc., entered into the contract with Rosedale, as the trial court evidently did, that contention also conflicted with the above-described exhibits, which were properly accorded precedence over the contrary allegation in the body of the complaint as to the party that entered into the contract with Rosedale." (Emphasis added.))

The general agency allegations of paragraph 30 are stated on information without facts alleging a basis for Plaintiffs' information and belief. As such, Plaintiffs do not allege facts sufficient to allege that Alder Creek was an agent for Plaintiffs, and they also fail to state facts sufficient to support a claim against Alder Creek as an agent of Sequoia without alleging any facts supporting the information and belief agency allegation. (*Doe v. City of Los Angeles*, *supra*, 42 Cal.4th at 550; *Brown v. USA Taekwondo*, *supra*, 40 Cal.App.5th at 1106-1107.) The cause of action as alleged fails against Alder Creek.

3. Fraud-Related Causes of Action (4th, 5th and 9th C/As)

The fourth, fifth and ninth causes of action as fraud-related claims are required to be pled with specificity under the authorities cited above. As alleged against Alder Creek, the causes of action clearly do not meet that standard since Plaintiffs allege no specific acts or omissions by Alder Creek. (See 4th, 5th, 9th C/As.) Plaintiffs argue they allege the names of "Sequoia and Alder Creek officers who signed" the Management Agreements (Opp. p. 11, ll. 20-21); they do not. They allege the names of the officers of Sequoia who signed the agreements, as Sequoia is the only party to the Management Agreements. (FAC Exh. A.) They do not allege that Sequoia's officers are Alder Creek's officers or any other relationship between the named individuals and Alder Creek. They do not allege any representations to Plaintiffs made by Alder Creek through any identified officer or employee of Alder Creek. They do not allege any facts regarding any role played by Alder Creek in the alleged management failures regarding the properties and nondisclosure of information alleged generically in the ninth causes of action. The causes of action as alleged fail against Alder Creek.

4. Breach of Contract (6th C/A)

"[A plaintiff] cannot assert a claim for breach of contract against one who is not a party to the contract." (*Tri-Continent Internat. Corp. v. Paris Savings & Loan Assn.* (1993) 12 Cal.App.4th 1354, 1359.) (See also *Super 7 Motel Associates v. Wang* (1993) 16 Cal.App.4th 541, 545.) To the extent Plaintiffs allege Alder Creek is a party to the Management Agreements, the allegation is contradicted by the Management Agreement attached as Exhibit A to the FAC, and the allegation is not accepted by the Court as true. (*Nolte*, *supra*, 236 Cal.App.4th at 1406; *Panterra GP*, *supra*, 74 Cal.App.5th at 719.) The FAC therefore does not allege facts to state a breach of contract cause of action against Alder Creek.

5. Interference Claims (7th and 8th C/As)

The deficiency in the allegations of the seventh cause of action against Sequoia also apply to this cause of action asserted against Alder Creek. Plaintiffs have not sufficiently alleged that Alder Creek was an agent either for Plaintiffs in managing the properties or for Sequoia for the reasons stated above, which could make Alder Creek a third party or stranger to the tenant contracts allegedly interfered with. However, the seventh cause of action is founded on allegations that the tenant leases

were interfered with by the improper performance of management duties under the Management Agreements (FAC ¶¶ 76, 78 ["as part of their management" of the properties, the acts and omissions in management caused the interference with the tenant contracts].) The foundation for the claim against Alder Creek based on Plaintiffs' allegations of the cause of the interference therefore fails, and the FAC fails to state this cause of action against Alder Creek. The eighth cause of action against Alder Creek fails for a similar reason. (See FAC ¶¶ 83 ["Pursuant to the Agreements . . ."], and 84 ["as part of their management" of the properties].)

6. Declaratory Relief (10th C/A) and Accounting (11th C/A)

The controversy Plaintiffs allege exists between the parties is allegedly regarding "the rights, duties, responsibilities and obligations" under the Management Agreements. (FAC¶ 96.) (See also FAC ¶ 97 [alleging a material condition of the Management Agreements is for defense, indemnification, and insurance coverage].) Alder Creek is not a party to the Management Agreements, so this cause of action does not allege a basis for obtaining declaratory relief against Alder Creek regarding the rights and obligations of the parties to those agreements.

An accounting cause of action requires allegations of a relationship that supports the need for the defendant to account to the plaintiff. (*Sass, supra*, 10 Cal.5th at 869; *Teselle, supra*, 173 Cal.App.4th at 179.) Plaintiffs have not alleged a relationship with Alder Creek based on the Management Agreements or any agency relationship.

7. Conclusion as to Alder Creek (3rd – 11th C/As)

For the reasons stated, the motion for judgment on the pleadings as to the third through eleventh causes of action alleged against Alder Creek is **granted, with leave to amend**.

6. 9:00 AM CASE NUMBER: C24-01562

CASE NAME: MARK SHOTWELL VS. STATE FARM GENERAL INSURANCE COMPANY

***HEARING ON MOTION FOR DISCOVERY TO COMPEL FURTHER DISCOVERYRESPONSES FROM
DEFENDANT STATE FARM GENERAL INSURANCE COMPANY**

FILED BY:

TENTATIVE RULING:

Appearance required. Counsel for the parties shall be prepared to discuss Request for Production number 10 and Special Interrogatory 4.

7. 9:00 AM CASE NUMBER: C24-01921

CASE NAME: A-S PIPELINES INC., A CALIFORNIA CORPORATION VS. DAVID SEENO

***HEARING ON MOTION IN RE: DISQUALIFY COUNSEL FOR UNAUTHORIZED DOCUMENT
COLLECTION AND POSSESSION OF TAX RECORDS.**

FILED BY:

TENTATIVE RULING:

Before the Court is Defendant Albert D. Seeno, Jr., Defendant Willow View Association, and Eden Valley Ranch LLC (collectively, “Defendants”) motion to disqualify counsel of record for Plaintiff David T. Seeno (“Plaintiff”).

Defendants move to disqualify counsel pursuant to CCP §128 on the grounds that, among other alleged discovery misconduct, counsel “improperly and without authorization obtained possession of [Albert D. Seeno, Jr.]’s confidential income tax returns and income tax filings.” (Notice of Motion at 2:15-16.)

For the following reasons, the motion is **denied**.

Requests for Judicial Notice

Defendants request judicial notice of several pleadings and orders in C22-01746 and P24-00908.

“A court may take judicial notice of the existence of each document in a court file, but can only take judicial notice of the truth of facts asserted in documents such as orders, findings of fact and conclusions of law, and judgments.” (*People v. Franklin* (2016) 63 Cal.4th 261, 280 [quoting *Day v. Sharp* (1975) 50 Cal.App.3d 904, 914].)

Subject to that limitation, the request is **granted**. (Evid. Code § 452(d).)

Brief Factual and Procedural Background

The instant case, filed in 2024, relates to a property known as Eden Valley Ranch. At all relevant times Defendant Albert D. Seeno Jr. has maintained control over the Ranch. For decades, the Plaintiffs enjoyed unrestrained access to the Ranch, including being able to stay there for long periods of time. Over the years, Plaintiffs amassed a large collection of personal property which they stored at the Ranch without incident. This personal property is alleged to have grown to millions of dollars in assets.

It is alleged that in early 2024, Defendant Albert D. Seeno Jr. revoked permission for the Plaintiffs to enter the Ranch. This includes removing Plaintiffs’ ability to collect and remove their personal property from the Ranch. In addition to being prevented from obtaining their personal property, Plaintiffs allege that Defendant is improperly relocating some of their property (without their permission) and is asserting ownership over some of their possessions.

As a result of the above, Plaintiffs filed a Complaint on October 14, 2023, alleging four causes of action: (1) conversion; (2) civil remedy for stolen goods; (3) replevin – personal property; and (4) injunctive relief. Plaintiffs sought a temporary restraining order restraining enjoining Defendants from interfering with Plaintiffs’ access to their personal property located at the Ranch. That request was denied.

Plaintiffs also moved for a preliminary injunction seeking an order restraining and enjoining Defendants from interfering with Plaintiffs’ ownership rights in their personal property, removal or transfer or Plaintiffs’ right to possession of same. That motion was also denied.

Defendants filed the instant motion to disqualify on August 22, 2025, on the grounds that “counsel of record for David [T.] Seeno, Coblenz, Patch, Duffy Bass LLP, improperly and without authorization collected documents from the email domain housing the emails of relevant company businesses

owned or controlled by [Albert D. Seenno, Jr.] (@seenohomes.com) which included the entire email boxes of Seenno company executives, general counsel and other key employees, and improperly and without authorization obtained possession of [Albert D. Seenno, Jr.]’s confidential income tax returns and income tax filings.” (Notice at 2:12-16.)

The instant case was consolidated with several business disputes between Seenno-related entities in September 2025. Many of the other lawsuits between Albert D. Seenno III and Albert D. Seenno Jr. and the entities that each of them control have been stayed pending stipulations to dismiss based upon the parties’ settlement agreement.

Standard

“A court’s authority to disqualify a lawyer in a pending proceeding derives from its inherent power to regulate the conduct of court officers, including attorneys, in furtherance of the sound administration of justice.” *City of San Diego v. Superior Court* (2018) 30 Cal.App.5th 457, 469.) “Whether an attorney should be disqualified is a matter addressed to the sound discretion of the trial court.” (*Henricksen v. Great American Savings & Loan* (1992) 11 Cal.App.4th 109, 113.)

Disqualification, however, is “a drastic remedy that should be ordered only where the violation of the privilege or other misconduct has a ‘substantial continuing effect on future judicial proceedings.’” (*Id.* at 462 [quoting *Gregori v. Bank of America* (1989) 207 Cal.App.3d 291, 309].) “There must be a ‘reasonable probability’ and ‘genuine likelihood’ that opposing counsel has ‘obtained information the court believes would likely be used advantageously against an adverse party during the course of the litigation.’” (*Ibid.*)

“Motions to disqualify counsel are especially prone to tactical abuse because disqualification imposes heavy burdens on both the clients and courts: clients are deprived of their chosen counsel, litigation costs inevitably increase and delays inevitably occur. As a result, these motions must be examined ‘carefully to ensure that literalism does not deny the parties substantial justice.’” (*City of Santa Barbara v. Superior Court* (2004) 122 Cal.App.4th 17, 22 [quoting *People ex rel. Dept. of Corporations v. Speedee Oil Change Systems, Inc.* (1999) 20 Cal.4th 1135, 1144].)

“Although disqualification necessarily impinges on a litigant’s right to counsel of his or her choice, the decision on a disqualification motion ‘involves more than just the interests of the parties.’ [Citation.] When ruling on a disqualification motion, ‘[t]he paramount concern must be to preserve public trust in the scrupulous administration of justice and the integrity of the bar. The important right to counsel of one’s choice must yield to ethical considerations that affect the fundamental principles of our judicial process.’” (*Clark v. Superior Court* (2011) 196 Cal.App.4th 37, 47-48.) “It must be remembered, however, that disqualification is a drastic course of action that should not be taken simply out of hypersensitivity to ethical nuances or the appearance of impropriety.” (*Roush v. Seagate Technology, LLC* (2007) 150 Cal.App.4th 210, 219; see *City of San Diego, supra*, 30 Cal.App.5th at p. 470 [“We do not disqualify a lawyer from representing a client to punish the lawyer’s mistakes or even bad behavior.”].)

When an attorney has improperly or inadvertently received documents or information protected by an opposing party’s attorney-client privilege, disqualification may be a proper “prophylactic measure to prevent future prejudice to the opposing party from information the attorney should not have possessed.” (*McDermott Will & Emery LLP v. Superior Court* (2017) 10 Cal.App.5th 1083, 1120; see *Wu v. O’Gara Coach Co., LLC* (2019) 38 Cal.App.5th 1069, 1083 [disqualification warranted only when privileged information possessed by attorney is “found to be directly at issue in, or have some critical importance to” the current litigation]; *San Diego, supra*, 30 Cal.App.5th at p. 472 [disqualification

proper only when there is ‘a “genuine likelihood” that the attorney’s status or misconduct “will affect the outcome of the proceedings before the court”’[.]’)

“When a party moves to disqualify opposing counsel based on allegedly improper receipt of privileged or confidential information, the party seeking disqualification has the initial burden to show its adversary possesses confidential information materially related to the proceedings before the court. [Citation]” (*Sundholm v. Hollywood Foreign Press Association* (2024) 99 Cal.App.5th 1330, 1341.)

Analysis

Defendants’ motion is predicated on their contention that email searches conducted by counsel for Plaintiffs in 2022 while representing Albert D. Seeno III were both “secret” and “unauthorized,” and that proposed use of those discovery materials in the instant case, where counsel also represents David T. Seeno, is “an unprecedented violation of ethical and legal canons and an affront to the judicial system.” (Mot. at 10:5-6.)

At the outset, the Court is skeptical that the collection of documents described by Defendants was itself a discovery violation. At the time of the document collection whether Albert D. Seeno III was active CEO of several Seeno entities or whether he had been terminated under his employment agreement was subject to dispute. Consequently, the Court cannot conclude that the electronic discovery collections to which Defendants’ object was beyond Albert D. Seeno III’s custody and control as CEO. Even assuming *arguendo* that the breadth of this document collection was somehow misconduct, the Court is not aware of any authority that supports disqualification of counsel for improper electronic searches alone (without some evidence of specific privileged documents having been retrieved through those searches).

Here, Defendants point to just one document—a spreadsheet relating to a 2013 Restructuring Agreement collected from Kevin McCauley’s email. (See Mot. at § I(B) and Gallagher Decl. ¶ 3, Ex. 2.) The Court understands that this document was the subject of correspondence between counsel for the parties in March of 2025 and that each hold a different position regarding the privilege of that document. (See Yu Decl. ¶ 34 and Ex. O.) That said, the Court understands that counsel for Plaintiffs sequestered the document in order that counsel for Defendants could pursue a privilege claim with the Discovery Referee. Counsel for Defendants did not do so.

Critically absent from Defendants’ motion is evidence that there is any privileged material that is likely to be prejudicial in this litigation—whether the broader consolidated action altogether, or this specific case which involves the alleged conversion of personal property at a family-owned Ranch. In the absence of such a material link, the Court cannot conclude that disqualification is warranted. Fundamentally this is a discovery dispute and there are other mechanisms available to Defendants to resolve their issues with document collection and production. The extraordinary step of disqualifying counsel for Plaintiffs is unwarranted on these facts. The motion is **denied**.

**8. 9:00 AM CASE NUMBER: C24-02339
CASE NAME: JUDY WOBLESKI VS. CITY OF WALNUT CREEK
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT. FILED BY CITY OF WALNUT CREEK.**

FILED BY:

TENTATIVE RULING:

Before the Court is Defendant City of Walnut Creek (“Defendant” or “Walnut Creek”)’s Demurrer. The Demurrer relates to Plaintiff Judy Wobleski, Roger Stone, Mary Jo Painter, Karen Stiles, Shivakumar Sundaram, Aarthi Shivakumar, and Julie Welsh (collectively, “Plaintiffs”)’s amended complaint for abatement of a public nuisance and injunctive relief. The Complaint alleges causes of action for (1) public nuisance, (2) injunctive relief to abate nuisance, and (3) declaratory relief.

Defendant demurs to Plaintiffs’ compliant pursuant to Code of Civil Procedure (“CCP”) § 430.10(a) and (e) on the grounds that the Court lacks jurisdiction to grant Plaintiffs’ requested relief, and the grounds that Plaintiffs’ nuisance claim is barred by Civil Code § 3482.

For the following reasons, Defendant’s demurrer is **overruled**.

Legal Standard

“The function of a demurrer is to test the sufficiency of the complaint as a matter of law.” (*Holiday Matinee, Inc. v. Rambus, Inc.* (2004) 118 Cal.App.4th 1413, 1420.) A complaint “is sufficient if it alleges ultimate rather than evidentiary facts” (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 (“*Doe*”)), but the plaintiff must set forth the essential facts of his or her case “with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent” of the plaintiff’s claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id.* at 1098–1099; *Doe* at 551, fn. 5.) The Court “assume[s] the truth of the allegations in the complaint, but do[es] not assume the truth of contentions, deductions, or conclusions of law.” (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

Brief Factual and Procedural Background

This action relates to the conversion of two tennis courts to eight pickleball courts. (FAC at ¶ 1.) Plaintiffs allege that the noise from the Rudgear/Dapplegray courts is as high as 88 dBA. (*Id.* at ¶ 4.) They further allege that the noise levels are well above legally permissible levels and constitute a nuisance. (*Id.* at ¶ 6.) Plaintiffs allege that this violates the City of Walnut Creek’s Noise Element of its General Plan as well as the Noise Ordinance in its Municipal Code. (*Id.* at ¶¶ 19, 20.)

This Court sustained Defendant’s prior demurrer to the original complaint on the grounds that Plaintiffs’ requested relief would require the Court to exercise the core functions of the legislative branch (specifically, to tell the City of Walnut Creek which sports are permissible in its parks). The Court also found that the challenged decision to convert the Dapplegray tennis courts to pickleball courts was entitled to statutory immunity for the public nuisance under Civil Code § 3482.

Analysis

A “nuisance” is defined as “[a]nything which is injurious to health ... or is indecent or offensive to the senses, ... so as to interfere with the comfortable enjoyment of life or property.” (§ 3479.) A nuisance is a “public nuisance” if it “affects at the same time an entire community or neighborhood.” (§ 3480; see *Friends of H Street v. City of Sacramento* (1993) 20 Cal.App.4th 152, 160 (*Friends of H Street*).) Because “each individual in a community must put up with a certain amount of annoyance, inconvenience and interference ... a public nuisance is actionable only if the requisite interference is “both substantial and unreasonable.” (*People ex rel. Gallo v. Acuna* (1997) 14 Cal.4th 1090, 1105 italics

and internal quotations omitted; see also *Hacala v. Bird Rides, Inc.* (2023) 90 Cal.App.5th 292, 324.)

Jurisdiction

Defendant once again argues as a threshold issue that the Court lacks jurisdiction under the “separation of powers” doctrine. (Demurrer at § V(A).) Previously, this Court concluded that the relief requested by Plaintiffs in their original complaint would require the Court to exercise the core functions of the legislative branch and to have power in an area where the Court has no special knowledge or expertise. Specifically, the original complaint sought an order precluding pickleball from with Dapplegray courts.

In their Amended Complaint, Plaintiffs have revised their prayer to seek an order “prohibiting Defendant from regulating its parks in such a manner as to violate the law and create a nuisance.” (Prayer at ¶ 6.) Defendant argues that this general characterization of relief still offends the separation of powers doctrine, arguing that “[a] generic order to prohibit noise at a park would require this Court to close its eyes to the activity at the center of the lawsuit and cannot otherwise issue.” (Demurrer at 12:5-7 [citing Civil Code § 3532].) Defendant further argues that “[a] court order addressing a nuisance that allegedly arises from pickleball play necessarily calls upon this Court to impermissibly assume the role of the City Council or city department head to administer its parks in a particular manner after weighing policy alternatives and mediating neighborhood disputes to effectuate and monitor such relief.” (*Id.* at 12:10-14 [citing *Citizens for Odor Nuisance Abatement v. City of San Diego* (2017) 8 Cal.App.5th 350, 364].)

Defendant’s reliance on *Citizens for Odor Nuisance Abatement* is inapt. That case was decided on summary judgment and concerned the causation element of a public nuisance cause of action. It does not compel the conclusion that the Plaintiffs’ current prayer for relief would require the Court to compel the Defendant City to use its discretion in a particular manner and therefore preclude the Amended Complaint as a whole under the separation of powers doctrine.

The Court cannot conclude that Plaintiffs’ amended complaint violates the separation of powers doctrine as a matter of law. The Demurrer on this ground is **overruled**.

Section 3482 Immunity

Plaintiffs’ revision of their prayer for relief and amendments to their complaint necessarily affects the Defendant’s section 3482 immunity argument. Rather than challenge the decision to convert the Dapplegray courts to pickleball courts, the Plaintiffs now challenge “continuing activities that have created a nuisance in violation of state and local ordinance provisions.” (FAC at ¶ 33.) Plaintiffs argue that it is a disputed question of fact “whether the City, in regulating its parks, created a nuisance and whether a nuisance inevitably will result from such regulation” that cannot be resolved on demurrer. (Opp. at 9:8-11.) Rather than challenge the decision to convert the Dapplegray courts, now Plaintiffs argue that they have challenged the manner in which the City operates the park—which they contend precludes immunity under section 3482.

The Court is inclined to agree. Furthermore, the Court is disinclined to conclude that this revision is a “sham pleading” as contended by Defendant—rather, the revised allegations are responsive to the Court’s prior order and conclusions. The Court cannot conclude as a matter of law that the public nuisance now alleged in this case flows from a statutorily authorized act. Ultimately, whether Plaintiffs will be able to demonstrate the causation element of their public nuisance cause of action with respect to Defendant cannot be resolved on Demurrer.

The Demurrer on this ground is **overruled**.

9. 9:00 AM CASE NUMBER: C24-02551
CASE NAME: ODK CAPITAL, LLC VS. THAI PHAM
*HEARING ON MOTION IN RE: RECONSIDERATION OF ORDER DENYING MOTION TO SET ASIDE
DEFAULT
FILED BY:
TENTATIVE RULING:

Appearance required.

10. 9:00 AM CASE NUMBER: C24-02592
CASE NAME: ROWENA DAVIS VS. THE STONEBROOK CONVALESCENT CENTER, INC
*HEARING ON MOTION IN RE: AN ORDER GRANTING HER AUTHORITY TO MAINTAIN THE
SURVIVAL CAUSES OF ACTION ON BEHALF OF ROWENA DAVIS, AN INTERESTED PERSON
FILED BY: WEST , NAMONDA
TENTATIVE RULING:

The motion is denied without prejudice for failure to file a proof of service.

11. 9:00 AM CASE NUMBER: C25-01068
CASE NAME: CHRISTOPHER LONDAHL VS. DOES 1-10
HEARING IN RE: APPLICATION AND HEARING FOR RIGHT OF ATTACH ORDER
FILED BY: CHRISTOPHER LONDAHL
TENTATIVE RULING:

The hearing is continued to December 22, 2025 at 9:00 a.m. in Department 9.

12. 9:00 AM CASE NUMBER: C25-01091
CASE NAME: TARA HOLMES LEONARD VS. DONOR NETWORK WEST
*HEARING ON MOTION IN RE: ERRATA AND RENEWED CONTRACT
FILED BY:
TENTATIVE RULING:

Defendant Donor Network West brings this motion to compel arbitration and to stay this action during the pendency of arbitration. The Motion is opposed by Plaintiff Tara Holmes Leonard.

The Motion was originally heard on September 15, 2025. The Court took the matter under submission and requested supplemental briefing. The parties each filed supplemental briefs. The Court has considered the parties' papers and for the reasons explained below, the Motion is **denied**.

Background

The Complaint alleges claims relating to work by Plaintiff from April 2019 through December 23, 2024. Plaintiff is suing for (1) wrongful termination in violation of public policy, (2) gender discrimination, (3) work environment harassment, (4) failure to prevent harassment, discrimination and retaliation, (5) retaliation (FEHA), (6) retaliation (Labor Code 1102.5), (7) failure to pay overtime wages, (8) failure to provide meal and rest periods, (9) waiting time penalties, (10) failure to provide accurate wage statements, (11) failure to provide vacation pay, (12) violation of unfair competition law, and (13) PAGA.

Defendant argues that there is valid arbitration agreement here and requests that this case be sent to arbitration. Defendant submits into evidence an agreement between the parties dated April 1, 2019, entitled Independent Consultant: Standard Form Contract [Agreement], which includes a provision to arbitrate "[a]ny disputes that arise between the parties with respect to the performance of this contract." (Dec. Dr. Janice Whaley, ¶ 12, Ex. D at § 8.) The agreement as well as the circumstances of Plaintiff's work for Defendant is discussed in the declaration of Dr. Whaley, Defendant's Chief Executive Officer.

Defendant contends that the arbitration agreement encompasses the claims at issue in this case. The Agreement includes a Scope of Services, which describes Plaintiff's scope of work as "observation, discussion and reporting on Family Resource Coordinators," (Agreement at ex. A.) On the day of the initial hearing, Defendant filed an errata that included a May 6, 2019 Agreement with the same arbitration language and a similar scope of service (although without a completion date). (Renewed Agreement.)

Without receiving permission from the Court, Defendant filed a third version of the parties' agreement, dated September 1, 2019. This agreement also contains the same arbitration language, but includes additional scope of work language according to Defendant. Defendant's attorney argues that they just learned of this agreement on November 4, 2025, and sent a copy to Plaintiff's attorney. The Court declines to consider the September 1, 2019, version of the contract. The contract upon which the Motion is based should have been included in the moving papers. While reply evidence is sometimes permissible in arbitration motions, it is usually limited to issues such as evidence on the execution of the agreement. (See, *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165.) Further, in this case the reply was filed on September 8, 2025, and this new document was not provided until approximately two months after the reply was filed. This third contract was filed late and the Court, exercising its discretion, will not consider the September 2019 version. (California Rules of Court, rule 3.1300(d).)

Standard

Where, as here, the parties to a lawsuit have executed an arbitration agreement, a "threshold

question[] presented by every motion or petition to compel arbitration” is “whether the parties’ dispute falls within the scope of that agreement.” (*Mondragon v. Sunrun Inc.* (2024) 101 Cal.App.5th 592, 601.) Under both California or federal law, “there is no policy compelling persons to accept arbitration of controversies which they have not agreed to arbitrate.” (*Id.*, at 602, internal quotes omitted.)

Only disputes that fall within the scope of an arbitration provision are arbitrable. (*Performance Team Freight Systems, Inc. v. Aleman* (2015) 241 Cal.App.4th 1233, 1244 [*Performance Team*]; *AT&T Technologies v. Communications Workers* (1986) 475 U.S. 643, 648.) “[A]rbitration is a matter of contract and a party cannot be required to submit to arbitration any dispute which he has not agreed so to submit.” (*Ibid*; *Mondragon, supra*, 101 Cal.App.5th at 602.)

In *Performance Team*, the court discussed the application of the subject arbitration provision, which provided for arbitration of the interpretation and performance of the agreement. The court held that “an analysis of the individual respondents’ status as employees or independent contractors will require an interpretation of the agreements’ terms (among other evidence) to decide if the terms accurately reflect the parties’ working relationship. Thus, the parties’ dispute encompasses both the interpretation and performance of the subject agreements’ terms.” (*Performance Team, supra*, 241 Cal.App.4th at 1246.)

The court in *Performance Team*, evaluated a similar provision in *AT&T Technologies, supra*, that “required arbitration of “differences arising with respect to the interpretation of this contract or the performance of any obligation hereunder.” (*AT&T Tech, supra*, 475 U.S. 643, 644–645.) The high court deemed the arbitration provision ‘broad.’ (*Id.*, at p. 650.)” (*Performance Team, supra*, 241 Cal.App.4th at 1245.)

The ruling of *Performance Team* also discusses the provision in *Elijahjuan v. Superior Court* (2012) 210 Cal.App.4th 15 “the arbitration provision applied to disputes regarding the “application or interpretation” of the parties’ contracts,” which was narrowly interpreted by the court in that case, which held that “the ultimate conclusion of whether workers were employees or independent contractors ‘is extracontractual and involves neither the application nor the interpretation of the Agreements. It involves consideration of petitioners’ actual work.’” (*Id.*, at 1244-1245.) The court in *Elijahjuan* also noted that a more narrower arbitration clause did not include Labor Code violations, whereas a broad one encompassing any and all employment-related disputes would include Labor Code violations. (*Elijahjuan, supra*, 210 Cal.App.4th at 24.)

“In deciding whether the parties agreed to arbitrate their dispute, we apply state rules of contract interpretation to evaluate whether the parties objectively intended to submit the issue to arbitration.” (*Ramos v. Superior Court* (2018) 28 Cal.App.5th 1042, 1051.) In *Ramos*, the arbitration provision included “[a]ny dispute or controversy of a Partner or Partners arising under or related to this Agreement ... or the Partnership.” (*Id.*, at 1047.) “Clauses providing for arbitration of disputes “arising from” or “arising out of” an agreement have generally been interpreted to apply only to disputes regarding the interpretation and performance of the agreement.” (*Id.*, at 1052.) The court, in *Ramos*, found that the arbitration provision applied to the parties’ dispute because the claims and the agreement related to the plaintiff’s compensation, which fell within the broad scope of the arbitration

provision. (*Id.*, at 1054.)

Defendant also cites *Khalatian v. Prime Time Shuttle Inc.* (2015) 237 Cal.App.4th 651, which also involved an issue of extracontractual disputes relating to independent contractor classification. The court found that the arbitration provision that fell under the FAA and included any claim “arising out of or relating to this Agreement” was a broad provision that encompassed “plaintiff’s claims that the Labor Code governs his compensation, and not the compensation terms of his Agreement with defendants.” (*Id.*, at 659-660.)

Analysis

Here, Plaintiff does not dispute the authenticity or existence of the Agreement or the arbitration provision. Plaintiff argues that her claims do not fall within the scope of the arbitration provision. As a secondary argument, she contends that the arbitration terms are unconscionable and not enforceable.

In review of the threshold question, whether the parties’ dispute falls within the scope of that agreement, the court notes the difference between the language in the Agreement at issue and that in the cases discussed in the moving and Opposition papers and referenced above.

Here, the Agreement states that the parties agree to arbitrate “[a]ny disputes that arise between the parties with respect to the performance of this contract.” This language is narrower than the terms that were at issue in *Performance Team* (“interpretation of this contract or the performance of any obligation hereunder”), *Ramos* (“any dispute or controversy arising under or related to” the agreement), or *Khalatian* (“arising out of or relating to this agreement”). The terms of the Agreement also are not similar to the language at issue in *Elijah Juan* (“application or interpretation of the parties’ contracts”).

The court in *Performance Team* relied upon the inclusion of the term “interpretation” to find that arbitration provision was broad and that the controversy relating to independent contractor classification was subject to arbitration. The court noted that, “an analysis of the individual respondents’ status as employees or independent contractors will require an interpretation of the agreements’ terms (among other evidence) to decide if the terms accurately reflect the parties’ working relationship.” (*Id.* at 1246.) The court cited the same terms, “interpretation” and “performance,” in *AT&T Technologies* to support its finding that the arbitration agreement was broad. The court also held that “an analysis of the individual respondents’ status as employees or independent contractors will require an interpretation of the agreements’ terms.” (*Performance Team*, *supra*, 241 Cal.App.4th at 1246.)

Here, Defendant contends that the arbitration provision should be interpreted under the FAA so as to encompass statutory claims. (*Khalatian*, *supra*, 237 Cal.App.4th at 660, holding “the high court has established that statutory claims are arbitrable when the parties’ contract involves interstate commerce and is therefore governed by the FAA.”) However, even under federal law, the court cannot compel the parties to arbitrate a claim they did not agree to arbitrate.

The language of the arbitration provision includes only “performance” of the Agreement. The

arbitration provision does not include “interpretation” of the contract, or disputes “arising out of,” or “relating to” the Agreement. The language specifically refers to “disputes ... with respect to performance of the contract.” Defendant cites no precedent that holds that the term “with respect to performance of the contract” is sufficient to encompass questions of statutory interpretation and independent contractor classification under federal law.

The Court has considered the scope of work in both the April 12, 2019, and May 6, 2019, agreements. While the Renewed Agreement has a more expansive scope of work, the language does not show that it covers the claims alleged in this case. Here, Plaintiff’s claims arise from rights as an alleged employee and those claims are distinct from disputes with respect to contract performance. For example, “[m]any Labor Code claims are rooted in the employment relationship but arise independently of the terms of the plaintiff’s employment contract.” (*Soltero v. Precise Distribution, Inc.* (2024) 102 Cal.App.5th 887, 896, fn. 5.) The alleged “Labor Code claims do not arise out of the contract but instead are distinct from rights under the Agreements.” (*Elijahjuan, supra*, 210 Cal.App.4th 15, 24.) Similarly, FEHA claims are different than a claim regarding performance of a contract.

For the reasons discussed herein, Defendant has not shown that performance under the Agreement is at issue in this case or that the parties otherwise agreed to arbitrate matters concerning interpretation of the Agreement or agreed to arbitrate claims relating to any work performed by Plaintiff for Defendant.

Accordingly, the Motion is denied.

13. 9:00 AM CASE NUMBER: C25-01992

CASE NAME: JUSTIN WANG VS. TESLA, INC

***MOTION/PETITION TO COMPEL ARBITRATION**

FILED BY: TESLA, INC

TENTATIVE RULING:

Appearance required to address parties intended stipulation to arbitration.

14. 9:00 AM CASE NUMBER: C25-02273

CASE NAME: LINDA WILLIAMS VS. DOES 1-50

***HEARING ON MOTION IN RE: QUASH SERVICE OF SUMMONS**

FILED BY: TENET HEALTHCARE CORPORATION

TENTATIVE RULING:

The unopposed motion by defendant Tenet Healthcare Corporation to quash the service of summons is granted for the reasons stated in the motion and supporting documents.

15. 9:00 AM CASE NUMBER: C25-02471
CASE NAME: KRANTI KAPRE VS. CLEAR RECON CORP
*HEARING ON MOTION IN RE: REQUEST FOR PRELIMINARY INJUNCTION
FILED BY: KAPRE, KRANTI
TENTATIVE RULING:

Before the Court is plaintiffs' application for a preliminary injunction to prevent defendant from holding a foreclosure sale related to their property. Because plaintiffs have failed to demonstrate they will prevail on the merits of their complaint, the application is **denied**.

The general purpose of a preliminary injunction is to preserve the status quo pending a determination on the merits of the action and the granting or denial of a preliminary injunction does not amount to an adjudication of the ultimate rights in controversy. (*Jamison v. Department of Transportation* (2016) 4 Cal.App.5th 356, 361.) A court evaluates two interrelated factors when deciding whether to issue a preliminary injunction. "The first is the likelihood that the plaintiff will prevail on the merits at trial." (*Cohen v. Board of Supervisors* (1985) 40 Cal.3d 277, 286.) The second is the interim harm that the party seeking the injunction will suffer if relief is denied, compared to the harm to the opposing party if granted. (*Cohen, supra*.) While a trial court's determination is guided by a 'mix' of the potential-merit and interim-harm factors (*Butt v. State of California* (1992) 4 Cal.4th 668, 677-678), it may not grant a preliminary injunction unless there is some possibility that the plaintiff would ultimately prevail on the merits of the claim. (*Jamison, supra*, 4 Cal.App.5th at 362.)

On September 4, 2025, plaintiffs filed their complaint, alleging the "causes of action." The causes of action are labeled "Application for Temporary Restraining Order - C.C.P. § 526" and "Preliminary and Permanent Injunction - C.C.P. § 526, Civil Code § 29249."

A preliminary injunction is an interim remedy designed to maintain the status quo pending a decision on the merits. (*Major v. Miraverde Homeowners Assn.* (1992) 7 Cal.App.4th 618, 623, citation omitted.) It is not, in itself, a cause of action. (*Ibid.*) Because a cause of action must exist before injunctive relief may be granted, no preliminary injunction may be granted where a complaint fails to state a cause of action. (*Ibid.*) Plaintiffs allude to their desire to obtain a loan modification or payment plan, but provide no specifics concerning entitlement to such a result. They also do not name their mortgage holder as a defendant in this action. While awaiting the hearing on this application, plaintiffs have procured more than the "30-45 days" originally sought in the complaint. Accordingly, while plaintiffs have not shown a probability of success on the merits, they have procured time to investigate options with respect to any available loss mitigation options offered by the mortgage servicer.

16. 9:00 AM CASE NUMBER: MSC19-02076
CASE NAME: MAUREEN MBADIKE-OBIOIRA, MD VS. CENTRAL EAST BAY IPA, MEDICAL GROUP INC
HEARING ON SUMMARY MOTION FILED BY: MBADIKE-OBIOIRA, MD, MAUREEN
FILED BY:

TENTATIVE RULING:

Parties to appear.

17. 9:00 AM CASE NUMBER: MSC19-02076
CASE NAME: MAUREEN MBADIKE-OBIORA, MD VS. CENTRAL EAST BAY IPA, MEDICAL GROUP INC
HEARING ON SUMMARY MOTION FILED BY: CENTRAL EAST BAY IPA, MEDICAL GROUP INC
FILED BY:

TENTATIVE RULING:

Parties to appear.

18. 9:00 AM CASE NUMBER: MSC21-02364
CASE NAME: HOOKER VS. MICHAEL C. STEAD INC.
***HEARING ON MOTION IN RE: ATTORNEYS FEES, COSTS, AND EXPENSES**
FILED BY:

TENTATIVE RULING:

The hearing is continued to December 22, 2025 at 9:00 a.m. in Department 9.

19. 9:00 AM CASE NUMBER: MSC21-02364
CASE NAME: HOOKER VS. MICHAEL C. STEAD INC.
***HEARING ON MOTION IN RE: STRIKE, OR IN THE ALTERNATIVE, TAX COSTS**
FILED BY:

TENTATIVE RULING:

The hearing is continued to December 22, 2025 at 9:00 a.m. in Department 9.

20. 9:00 AM CASE NUMBER: MSC22-00134
CASE NAME: RODRIGUEZ VS. STRONG
HEARING ON DEMURRER TO: FIRST AMENDED COMPLAINT. FILED BY MICHELLE STRONG.
FILED BY:

TENTATIVE RULING:

Before the Court is a demurrer by defendants Michelle Strong and LaSalle Strong to plaintiff's first amended complaint. For the reasons set forth, the demurrer on all grounds is **overruled**.

Background

This action arises out of a business dispute over the Firehouse Brew & Grill in Martinez. Plaintiff Rodriguez alleges that in 2019, he and defendant Michelle Strong entered into a partnership, Rocksteady Brewing Company, by which they jointly purchased the Firehouse business, reflected in a General Partnership Agreement executed by the parties on September 5, 2019. (First Am. Compl. ("FAC") ¶¶ 4, 7, 8.) He alleges he loaned Michelle Strong the funds to pay her initial capital share pursuant to terms set forth in the partnership agreement. (FAC ¶¶ 8-10 and Exh. A.) They agreed Michelle Strong would be the general manager of the business and would receive a salary of \$6,000 per month. (FAC ¶ 12 and Exh. A.) Disputes arose concerning the management and operation of the business, giving rise to this lawsuit.

Plaintiff also alleges that he made a separate \$30,000 loan to Michelle Strong and Lasalle Strong in 2017 reflected in a written promissory note executed by the parties, a copy of which is attached as Exhibit B to the FAC. (FAC ¶ 29.) He alleges payments were due under the note beginning June 1, 2018, and no payments were made on the note. (FAC ¶¶ 30, 31.)

The FAC includes four causes of action: common count – money owed based on the capital loaned to Michelle Strong for her purchase of her interest in the business subject to the partnership agreement (1st C/A), accounting for the partnership assets (2nd C/A), breach of promissory note based on the 2017 \$30,000 note attached as Exhibit B (3rd C/A), and a derivative cause of action for breach of fiduciary duty under Corporations Code section 800 against Michelle Strong and Rocksteady as a nominal defendant (4th C/A).

Legal Standards Governing Demurrer

In ruling on the demurrer, the Court must accept as true all well-pleaded factual allegations of the complaint, but not legal or factual conclusions or contentions of law. (*City of Dinuba v. County of Tulare* (2007) 41 Cal. 4th 859, 865.) The Court gives "the complaint a reasonable interpretation, reading it as a whole and its parts in their context. [Citation omitted.]" (*Evans v. City of Berkeley* (2006) 38 Cal. 4th 1, 6.) (*See also* Code Civ. Proc. § 452.) In ruling on a demurrer, the Court also considers matters of which the Court can properly take judicial notice. (*Carloss v. County of Alameda* (2015) 242 Cal. App.4th 116, 123.) The Court does not consider evidence outside the pleading, except matters subject to judicial notice. (*Carloss, supra*, 242 Cal.App.4th at 123; *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.)

A demurrer must dispose of an entire cause of action. (*Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1167, overruled in part on other grounds by *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 919; *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682-1683.) As a general matter, demurrers for uncertainty are disfavored. (*Lickiss v. Financial Industry Regulatory Authority* (2012) 208 Cal.App.4th 1125, 1135; *A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 695 ["'[U]nder our liberal pleading rules, where the complaint contains substantive factual allegations sufficiently apprising defendant of the issues it is being asked to meet, a demurrer for uncertainty should be overruled or plaintiff given leave to amend.' [Citations omitted.]"].)

Michelle Strong Declaration in Support of Demurrer

Michelle Strong filed a declaration in support of the demurrer on July 2, 2025 which purports to present evidence disputing allegations of the FAC, with exhibits attached that at least in some

instances may reflect filings made with a government entity but for which no request for judicial notice has been made. " 'On a demurrer a court's function is limited to testing the legal sufficiency of the complaint. [Citation omitted.] "A demurrer is simply not the appropriate procedure for determining the truth of disputed facts." [Citation omitted.] The hearing on demurrer may not be turned into a contested evidentiary hearing through the guise of having the court take judicial notice of documents whose truthfulness or proper interpretation are disputable. [Citation omitted.]" " (*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113-114.)

The Court cannot consider the testimony in the Michelle Strong Declaration in ruling on the merits of the demurrer. (*Carloss, supra*, 242 Cal.App.4th at 123; *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994 [Court is limited to consideration of the complaint and matters of which the Court can take judicial notice in ruling on a demurrer, refusing to consider a proffered declaration].) Further, judicial notice of documents attached to her declaration, even if judicial notice had been requested, does not extend to the truth or proper interpretation of documents where those matters are reasonably disputable. (*See, e.g., StorMedia, Inc. v. Superior Court* (1999) 20 Cal.4th 449, 457, fn. 9 [judicial notice of pleadings extends to the fact of the filings but not the truth or interpretation of the content of the filings to the extent reasonably disputable]; *Fremont Indemnity Co. v. Fremont General Corp., supra*, 148 Cal.App.4th at 113-115 [same].)

Demurring Parties' Meet and Confer Declarations Are Satisfactory

The original hearing on the demurrer was continued for failure by the demurring parties to meet and confer with Plaintiff pursuant to Code of Civil Procedure section 430.41(a). The demurring parties have filed meet and confer declarations pursuant to the Court's October 20, 2025 minute order and have satisfied the statutory meet and confer requirement.

Analysis

Defendants Michelle Strong and Lasalle Strong demur to the FAC on three grounds: (1) that the FAC fails to allege facts sufficient to state a cause of action, a demurrer which addresses by its terms the FAC in its entirety; (2) that "certain" causes of action are barred by the statute of limitations, which, based on the Argument at Section III.A. of the memorandum of points and authorities in support of the demurrer, is a contention directed only to the third cause of action; and (3) that "the causes of action are uncertain, ambiguous, and unintelligible," a special demurrer under Code of Civil Procedure section 430.10(f) which appears to be directed to all of the causes of action of the FAC.

A. Breach of \$30,000 Promissory Note (3rd C/A) and \$50,000 Partner Capital Loan (1st C/A) Are Time-Barred

The demurrer points out that the promissory note attached as Exhibit B to the FAC is not executed. The FAC, however, expressly alleges that the note was in fact executed by the parties and that Michelle Strong is in possession of the signed note. (FAC ¶ 29.) In ruling on the demurrer, the Court must accept as true these factual allegations, "however improbable they may be." (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal. App. 3d 593, 604; *Universal By-Products, Inc. v. City of Modesto* (1974) 43 Cal.App.3d 145, 151.) As a result, Plaintiff has adequately alleged the existence of a written promissory note signed by defendants, such that the statute of limitations for breach of the written note is four years under Code of Civil Procedure section 337. Demurring defendants recite facts demonstrating the claim is not time-barred: the first payment under the \$30,000 was due on

June 1, 2018 and was allegedly not made, the complaint commencing the action was filed on January 25, 2022 including the claim on the note, and the statute of limitations expired June 1, 2022, four years after the breach. The claim on the \$30,000 promissory note is timely filed within four years.

The initial memorandum in support of the demurrer raised the bar of the statute of limitations only as it applies to the \$30,000 promissory note claim. (MPA ISO Dem. Argument Section III.A.) The demurring parties argued that the alleged \$50,000 loan for Michelle Strong's capital contribution was "unenforceable," but not based on the statute of limitations. (MPA ISO Dem. Argument Section III.B.) In the reply, the demurring parties argue for the first time that the claim based on the \$50,000 loan (1st C/A) is also barred by the statute of limitations, specifically the two-year statute of limitations because the copy of the partnership agreement attached to the FAC is not signed. The argument made for the first time in the reply is improper and violates Plaintiff's due process rights, as Plaintiff did not have an opportunity to respond to the argument in his opposition. (*Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537-1538.)

Further, even if the Court considered the argument on the merits, Plaintiff alleges in the FAC that the partnership agreement was in fact signed by the parties, but that Michelle Strong has maintained possession of the executed copy. (FAC ¶ 8.) The Court accepts that factual allegation as true on demurrer. The four-year statute of limitations for a claim based on a written instrument (Code Civ. Proc. § 337) applies, and the complaint filed less than four-years after the partnership agreement was allegedly executed (September 5, 2019) is timely.

The second ground for the demurrer that "certain" causes of action are barred by the statute of limitations is **overruled** for these reasons.

B. Allegations of the FAC Fail to State Facts Sufficient to Constitute A Cause of Action

The demurring parties' contention that the FAC fails to allege facts sufficient to state causes of action against them is directed to the FAC as a whole, not to any individual cause of action. As a result, if the facts alleged in the FAC state any cause of action, this ground for the demurrer must be overruled.

The only basis on which the demurring parties contend the third cause of action for breach of promissory note is deficient is that the claim on the \$30,000 note is allegedly barred by the statute of limitations. For the reasons stated above, the third cause of action on the \$30,000 promissory note is not time-barred.

The sufficiency of the third cause of action to state a cause of action for recovery on the \$30,000 promissory note alone is enough to warrant overruling the first ground stated for the demurrer that the FAC fails to allege facts stating a cause of action against them. However, even if the Court considered the grounds raised by the demurring parties challenging the sufficiency of the allegations supporting the first, second, and fourth causes of action, the Court finds those causes of action are sufficiently pled.

1. Common Count – Money Owed (1st C/A)

Demurring parties contend that the first cause of action is defeated by a 2019 declaration allegedly signed by Plaintiff regarding his investment for a 50% interest in the business. The demurring parties make other factual arguments, including that the funds were transferred to the business and not to Michelle Strong individually. The demurring parties also improperly raise several new arguments in their reply not asserted in the initial papers regarding deficiencies in this cause of action, arguing

among other things that Plaintiff lacks standing to seek to recover the funds subject to the money owed claim because the source of the funds were an entity, Team Maintenance Services, LLC, and alleged inconsistencies in Plaintiff's claims regarding the \$50,000 debt. (The Court does not find inconsistency as argued in the reply, even if the Court were to consider that argument. (See Reply Section II.) the FAC alleges in effect the \$100,000 investment to buy the business was divided into two \$50,000 components, one a loan to the business by Rodriguez and one a loan to Michelle Strong for her half of the purchase capital investment. (See FAC ¶ 10.)

The demurring defendants' factual arguments apparently are based at least in part on evidence presented in the Michelle Strong Declaration, including in part based on the testimony in her declaration and the truth or proper interpretation of the contents of filings that may have been made with a public agency, which cannot be considered by the Court in ruling on the demurrer under the authorities cited above. Further, new arguments made for the first time in the reply as a basis for the demurrer are improper and violate Plaintiff's due process rights. The Court will not consider them. (*Jay v. Mahaffey*, *supra*, 218 Cal.App.4th at 1537-1538.)

2. Accounting (2nd C/A)

"A cause of action for an accounting requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting. [Citations omitted.]" (*Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 179.) An accounting cause of action lies where the plaintiff asserts a right to recover an amount that is not a sum certain or capable of being made certain by calculation. (*Id.*) An accounting cause of action may lie where there is a fiduciary relationship between the parties. (*Jolley v. Chase Home Finance, LLC* (2013) 213 Cal.App.4th 872, 910.)

Demurring defendants raise factual issues, apparently based in part on the Michelle Strong Declaration and exhibits, contending that Michelle Strong is no longer in control of the financial records for the business as she has been removed, that she has not retained any financial records, and that Plaintiff has access to all the financial records. These factual issues cannot be resolved on demurrer. The FAC alleges facts, taken as true, that Michelle Strong as a partner and general manager of Rocksteady has fiduciary duties to Plaintiff as the other partner, that there are financial disputes over the assets of Rocksteady and payments Michelle Strong allegedly made to herself from the business, that funds are owed to Plaintiff, and that the amount owed can only be ascertained through an accounting. (FAC ¶¶ 12-20, 23-26.) The allegations, accepted as true in ruling on a demurrer, are sufficient to state a cause of action for an accounting.

3. Derivative Claim for Breach of Fiduciary Duty (4th C/A)

The initial pleading in support of the demurrer includes a single-sentence argument that this cause of action is defective "cause Plaintiff fails to show proper standing, does not adequately plead demand futility, and alleges conclusions rather than facts." (MPA ISO Dem. Argument Section III.C.) The argument is not supported either by applicable legal authority or reasoned analysis and may be disregarded on that ground alone. (*Lafferty v. Wells Fargo Bank* (2013) 213 Cal. App. 4th 545, 571-572 ["When a point is asserted without argument and authority for the proposition, 'it is deemed to be without foundation and requires no discussion by the reviewing court.'"]; *Mattco Forge, Inc. v. Arthur Young & Co.* (1997) 52 Cal. App. 4th 820, 850 ["In a page and a half, and with citation to but one case for the general proposition the conduct was despicable, [Cross-Appellant appeals] from the granting

of the directed verdict motion. This cursory treatment requires no discussion by us."].)

The derivative claim must be evaluated in the context of the facts alleged, which are that the partnership has only two partners, Plaintiff and defendant Michelle Strong, who was also the general manager with responsibilities described in the FAC. (FAC ¶¶ 8-12, 37, 39.) Partners in a partnership generally owe fiduciary duties to each other and the partnership. (*See Enea v. Superior Court* (2005) 132 Cal.App.4th 1559, 1564.) "The elements of a cause of action for breach of fiduciary duty are the existence of a fiduciary relationship, breach of fiduciary duty, and damages. [Citation omitted.]" (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 820.) Demurring defendants do not point to any element of a cause of action for breach of fiduciary duty that is omitted from the allegations of the fourth cause of action.

As to the lack of standing claim, Plaintiff alleges that he was and remains one of the two shareholders of Rocksteady, that he and Michelle Strong are the only two designated directors and are deadlocked to the extent they were ever properly appointed, that Michelle Strong abandoned her position as general manager or CEO of Rocksteady in September 2025, that Plaintiff made demand for an accounting and other matters addressed in the complaint, that a copy of the FAC was delivered to Michelle Strong, and that any further demands would be futile. (FAC ¶¶ 35-48.) Without any contrary legal authority, the Court finds these allegations sufficient to meet the requirements of Corporations Code section 800 for Plaintiff to assert the derivative claim for breach of fiduciary duty and allege the futility of further demands on Rocksteady or its board of directors. The demurring parties' argument that the allegations of the fourth cause of action allege conclusions and not facts is not supported by the Court's review of the FAC.

4. Claims Against Lasalle Strong

The demurring parties raise for the first time in the reply as a ground for demurrer that the FAC does not allege any facts to support claims against Lasalle Strong. (Reply Section VI.) The Court will not consider this ground for the demurrer asserted for the first time in the reply. (*Jay v. Mahaffey, supra*, 218 Cal.App.4th at 1537-1538.) In any event, the FAC has express allegations regarding Lasalle Strong's obligations owed to Plaintiff supporting the claims against him. (*See, e.g.*, FAC ¶¶ 10, 24, 29 and Exhs. A and B.)

5. Personal Liability for Corporate Obligations

The demurring parties argue the FAC seeks to impose individual liability on defendants for corporate obligations. (MPA ISO Dem. Argument Section III.F.) The demurring parties do not point to specific causes of action or allegations of the FAC on which their argument is based. The Court's review of the FAC indicates the argument is not supported by the pleading. For example, the first cause of action alleges, among other things, that Rodriguez in effect made a loan to Michelle Strong and Lasalle Strong for their 50% share of the investment/capital contribution for the acquisition of the business which they agreed to repay under the terms of the partnership agreement. (FAC ¶¶ 8-10 and Exh. A.) This alleges a personal liability of the defendants.

6. Conclusion as to Second Ground for Demurrer

For the reasons set forth, the demurrer on the ground that the causes of action of the FAC fail to state a cause of action is **overruled**.

C. The FAC Is Uncertain

The demurring parties argue that the allegations of the FAC are vague as to "dates, amounts, and conduct." (MPA ISO Dem. Argument Section III.D.) The argument is unsupported by reference to any specific paragraphs or allegations of the FAC defendants contend are vague. To the extent there is any uncertainty, the uncertainty is not sufficient to warrant sustaining the special demurrer to the FAC on this ground, as demurring parties can conduct discovery to further investigate the basis of the claims. (*Lickiss v. Financial Industry Regulatory Authority*, *supra*, 208 Cal.App.4th at 1135; *A.J. Fistes Corp. v. GDL Best Contractors, Inc.*, *supra*, 38 Cal.App.5th at 695.) The special demurrer for uncertainty is **overruled**.

21. 9:01 AM CASE NUMBER: C25-01113
CASE NAME: RANA SINGH VS. KANWAR SINGH
***HEARING ON MOTION FOR DISCOVERY COMPEL INSPECTION AND PRODUCTION OF THE**
ACCOUNTING DATABASES FROM DEFENDANTS AND FOR MONETARY SANCTIONS
FILED BY: SINGH, RANA
TENTATIVE RULING:

Appearance required.

22. 9:01 AM CASE NUMBER: C22-01835
CASE NAME: MICHAELA STRAZNICKA VS. REYNA HIGUERA
***HEARING ON MOTION FOR DISCOVERY COMPEL PLAINTIFF MICHAELA STRAZNICKA'S FURTHER**
RESPONSES TO SPECIAL INTERROGATORIES, SET 4
FILED BY: BUILDING SERVICES/SYSTEM MAINTENANCE, INC.
TENTATIVE RULING:

Appearance required.

23. 9:00 AM CASE NUMBER: C24-02339
CASE NAME: JUDY WOBLESKI VS. CITY OF WALNUT CREEK
***FURTHER CASE MANAGEMENT CONFERENCE**
FILED BY:
TENTATIVE RULING:

The case management conference is continued to January 14, 2026 at 8:30 a.m. in Department 34.

The case is assigned to Department 34 for all purposes as of January 5, 2026.

24. 9:00 AM CASE NUMBER: MSC22-00134

CASE NAME: RODRIGUEZ VS. STRONG

***FURTHER CASE MANAGEMENT CONFERENCE**

FILED BY:

TENTATIVE RULING:

Appearance required.

25. 10:00 AM CASE NUMBER: C22-02244

CASE NAME: RAMIREZ VS. RODRIGUEZ

COURT TRIAL HEARING

FILED BY:

TENTATIVE RULING:

Appearance required.